

Broad Transactions ↕

848 Reference Rate Reform

848 Reference Rate Reform

10 Overall

00 Status

General Note:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

848-10-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	Financial Statements Are Available to Be Issued	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	Financial Statements Are Available to Be Issued	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-10-05-1 through 05-3	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	848-10-05-1 through 05-3	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-10-05-2	Amended	Accounting Standards Update No. 2021-01	01/07/2021
	848-10-15-1 through 15-4	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	848-10-15-1 through 15-4	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-10-15-3A	Superseded	Accounting Standards Update No. 2021-01	01/07/2021
	848-10-15-3A	Added	Accounting Standards Update No. 2021-01	01/07/2021
	848-10-35-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020

848-10-35-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-10-35-2	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-10-35-2	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-10-50-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-10-50-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-10-55-1	Superseded	Accounting Standards Update No. 2021-01	01/07/2021
848-10-55-1	Added	Accounting Standards Update No. 2021-01	01/07/2021
848-10-65-1	Amended	Accounting Standards Update No. 2022-06	12/21/2022
848-10-65-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-10-65-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-10-65-2	Amended	Accounting Standards Update No. 2022-06	12/21/2022
848-10-65-2	Added	Accounting Standards Update No. 2021-01	01/07/2021

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

- 848-10-05-1** The Reference Rate Reform Topic includes the following Subtopics:
- a. Overall
 - b. Contract Modifications
 - c. Hedging—General
 - d. Fair Value Hedges

e. Cash Flow Hedges.

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-10-05-2 Reference rates such as the London Interbank Offered Rate (LIBOR) are widely used in a broad range of financial instruments and other agreements. Regulators and market participants in various jurisdictions have undertaken efforts, generally referred to as reference rate reform, to eliminate certain reference rates and introduce new reference rates that are based on a larger and more liquid population of observable transactions. As a result of the reference rate reform initiative, certain widely used reference rates such as LIBOR are expected to be discontinued.

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
Reference rates such as the London Interbank Offered Rate (LIBOR) are widely used in a broad range of financial instruments and other agreements. Regulators and market participants in various jurisdictions have undertaken efforts, generally referred to as reference rate reform, to eliminate certain reference rates and introduce new reference rates that are based on a larger and more liquid population of observable transactions. As a result of the reference rate reform initiative, certain widely used reference rates such as LIBOR are expected to be discontinued. Also, as part of the market transition to new reference rates, certain derivative instruments may be modified to change the rate used for margining, discounting, or contract price alignment.

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-10-05-3 This Topic provides optional expedients for applying the guidance in certain Topics or Industry Subtopics for contract modifications or other situations affected by reference rate reform. The guidance in this Topic is temporary in accordance with the guidance in paragraph [848-10-65-1\(a\)](#).

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

15 Scope and Scope Exceptions

 **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some

cases, the Section may contain definitional or other text to frame the scope.

General

> Overall Guidance

848-10-15-1 The Scope and Scope Exceptions Section of the Overall Subtopic establishes the pervasive scope for the Reference Rate Reform Topic. Unless explicitly addressed within the specific Subtopics, the following guidance applies to all Subtopics of the Reference Rate Reform Topic.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-10-15-1 will be superseded upon transition, together with its heading:

> **Overall Guidance**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

> Entities

848-10-15-2 The guidance in this Topic applies to all entities.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-10-15-2 will be superseded upon transition, together with its heading:

> **Entities**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

> Scope

848-10-15-3 The guidance in this Topic, if elected by an entity, shall apply to contracts or other transactions that reference the London Interbank Offered Rate (LIBOR) or a reference rate that is expected to be discontinued as a result of reference rate reform.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-10-15-3 will be superseded upon transition, together with its heading:

> **Scope**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-10-15-3A

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
Certain provisions of the guidance in this Topic, if elected by an entity, shall apply to derivative instruments that do not meet the scope of paragraph [848-10-15-3](#) that use an interest rate for margining, discounting, or contract price alignment that is modified as a result of reference rate reform (see paragraph [848-10-55-1](#)).

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
[Paragraph superseded by Accounting Standards Update No. 2021-01.](#)

· > Identifying an Eligible Reference Rate

848-10-15-4

The guidance in this Topic applies to all maturities of LIBOR in all jurisdictions and currencies. For other reference rates, an expectation of the discontinuance of the rate may result from any of the following:

- a. A public statement or publication of information by or on behalf of the administrator of the relevant reference rate or by the regulatory supervisor for the administrator
- b. Initiatives by a significant number of market participants or by market participants representing a significant number of transactions to move away from the reference rate
- c. The production method for the calculation of the published reference rate that is either:
 - 1. Fundamentally restructured
 - 2. Reliant on another rate that is expected to discontinue.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
Editor's Note: Paragraph 848-10-15-4 will be superseded upon transition, together with its heading:
> > Identifying an Eligible Reference Rate
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

20 Glossary

General Note: The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Financial Statements Are Available to Be Issued

Financial statements are considered available to be issued when they are complete in a form and format that complies with GAAP and all approvals necessary for issuance have been obtained, for example, from management, the board of directors, and/or significant shareholders. The process involved in creating and distributing the financial statements will vary depending on an entity's management and corporate governance structure as well as statutory and regulatory requirements.

35 Subsequent Measurement

General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Sale or Transfer from Held-to-Maturity Classification

848-10-35-1 An entity may make a one-time election to sell or transfer certain debt securities classified as held to maturity or to both sell and transfer certain debt securities classified as held to maturity to available for sale or trading. At the time of applying the one-time election, the entity may sell, transfer, or both sell and transfer debt securities classified as held to maturity that meet both of the following criteria:

- a. The debt securities reference a rate that meets the scope of paragraph [848-10-15-3](#).
- b. The debt securities were classified as held to maturity before January 1, 2020.

At the time of applying the one-time election, an entity is not required to transfer all its remaining debt securities classified as held to maturity that meet criteria (a) and (b). The one-time election to sell, transfer, or both sell and transfer debt securities classified as held to maturity may be made at any time, but no later than the date in paragraph [848-10-65-1\(d\)](#).

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-10-35-1 will be superseded upon transition, together with its heading:

> **Sale or Transfer from Held-to-Maturity Classification**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-10-35-2

An entity shall recognize the transfer of debt securities classified as held to maturity to available for sale or trading as of the date in the reporting period in which the entity makes its one-time election. The entity shall apply the measurement guidance for transfers of debt securities between categories in paragraphs [320-10-35-10 through 35-16](#). The sale or transfer, in and of itself, would not call into question the entity's assertion at prior reporting dates that it had the intent and ability to hold to maturity those debt securities that continued to be classified as held to maturity in those prior periods.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

50 Disclosure

 **General Note:** The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

General

848-10-50-1

An entity that has applied the one-time election to sell, transfer, or both sell and transfer debt securities classified as held to maturity in accordance with paragraphs [848-10-35-1 through 35-2](#) shall apply the disclosure requirements in paragraph [320-10-50-10](#) for the sale or transfer of debt securities classified as held to maturity.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

55 Implementation Guidance and Illustrations

General Note: The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

848-10-55-1

PENDING CONTENT

Transition Date: P January 1, 2025; N January 1, 2025 | Transition Guidance: 848-10-65-2

The optional expedients in this Topic that may be applied to derivatives that meet the scope of paragraph 848-10-15-3A are specified in the following table.

Codification Subtopic	Provisions That Apply to Derivatives That Meet the Scope of Paragraph 848-10-15-3A
848-20	a. Option to apply certain expedients in the contract modification relief to derivative instruments that meet the scope of paragraph 848-10-15-3A (paragraph 848-20-15-2A). b. Option to apply contract modification relief if terms that do not change contractual cash flows are modified contemporaneously with the modification of the interest rate used for margining, discounting, or contract price alignment (paragraph 848-20-15-4). c. Option to elect contract modification relief for a change in the interest rate used for margining, discounting, or contract price alignment separately from other derivative instrument modifications (paragraphs 848-20-35-1 and 848-20-35-5). d. Option to not reassess a previous accounting determination (paragraph 848-20-35-4). e. Flowchart that summarizes how to navigate Subtopic 848-20 (paragraph 848-20-55-1). f. Implementation guidance that illustrates relief in paragraph 848-20-35-4, including relief from reassessing whether a modified derivative is a hybrid instrument and whether it includes a financing element (paragraph 848-20-55-2).
848-30	a. Option to apply the hedging relief on an individual hedge and individual expedient basis (paragraph 848-30-25-2). b. Option to not dedesignate a hedging relationship due to a change in a critical term (paragraph 848-30-25-3). c. Requirement to update hedge documentation for a change in a critical term (paragraph 848-30-25-4). d. Option to change the contractual terms of a hedging instrument, hedged item, or forecasted transaction and to not dedesignate a hedging relationship (paragraph 848-30-25-5). e. Option to change the contractual terms of a hedging instrument by entering into a fully offsetting derivative and contemporaneously entering into a new derivative with revised terms (paragraph 848-30-25-6). f. Guidance that a change in the interest rate used for margining, discounting, or contract price alignment for a derivative hedging instrument should not be considered a change to the critical terms of the hedging relationship (paragraph 848-30-25-7). g. Option to continue to apply a perfectly effective assessment method for a cash flow hedge by electing the corresponding optional expedient for subsequent assessments under that method (paragraph 848-30-25-11A). h. Option to adjust the cumulative fair value hedge basis adjustment and to continue to apply the shortcut method by electing the corresponding optional expedient for the application of the fair value hedge shortcut method for a fair value hedge under the shortcut method affected by a payment or receipt of a cash settlement (or equivalent) intended to compensate for a modification of the interest rate used for margining, discounting, or contract price alignment for the derivative hedging

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	instrument (paragraph 848-30-25-11B). i. Option to adjust the recorded amount in accumulated other comprehensive income and to apply certain effectiveness assessment expedients for a cash flow hedge affected by a payment or receipt of a cash settlement (or equivalent) intended to compensate for a modification of the interest rate used for margining, discounting, or contract price alignment for the derivative hedging instrument (paragraph 848-30-25-11C). j. Option to change the systematic and rational amortization method for excluded components (paragraphs 848-30-25-12 through 25-13).
848-40	a. Requirement for an entity that elects to apply the optional expedients in Subtopic 848-40 to continue to apply all other requirements applicable to fair value hedges in Subtopics 815-20 and 815-25 (paragraph 848-40-15-1). b. Option to apply the fair value hedging relief on an individual hedge and individual expedient basis (paragraph 848-40-25-1). c. Option to change the designated benchmark interest rate in a fair value hedging relationship (paragraph 848-40-25-2). d. Requirement to update hedge documentation upon a change in the designated benchmark rate (paragraph 848-40-25-3). e. Requirements and expedients related to continuing fair value hedge accounting without dedesignation if an entity elects to change the designated benchmark interest rate (paragraphs 848-40-25-4 through 25-7). f. Option to apply the subsequent effectiveness assessment expedient for the shortcut method if an entity was applying the shortcut method under Subtopics 815-20 and 815-25 before the modification of the interest rate used for margining, discounting, or contract price alignment and the requirement to update hedge documentation if elected (paragraphs 848-40-25-8 through 25-9).
848-50	a. Requirement for an entity that elects to apply the optional expedients in Subtopic 848-50 to continue to apply all other requirements applicable to cash flow hedges in Subtopics 815-20 and 815-30 (paragraph 848-50-15-1). b. Option to apply the cash flow hedging relief on an individual hedge and individual expedient basis (paragraph 848-50-25-1). c. Option to apply certain expedients for the application of subsequent assessment methods for cash flow hedges in which the hedging instrument meets the scope of paragraph 848-10-15-3A (paragraph 848-50-35-1). d. Option to apply the expedients in Subtopic 848-50 prospectively and the requirement to update hedge documentation if electing an optional expedient in Subtopic 848-50 (paragraphs 848-50-35-2 through 35-3). e. Option to apply a subsequent effectiveness assessment method that assumes perfect effectiveness if an entity was applying the corresponding perfectly effective method under Subtopics 815-20 and 815-30 before the modification of the interest rate used for margining, discounting, or contract price alignment (paragraphs 848-50-35-4 through 35-9). f. Requirement to cease applying subsequent assessment methods for assuming perfect effectiveness for cash flow hedges (paragraph 848-50-35-19A). g. Guidance on assessing hedge effectiveness and the subsequent accounting when optional expedient methods in paragraphs 848-50-35-4 through 35-9 are discontinued (paragraphs 848-50-35-20 through 35-21 and 848-50-35-23 through 35-24).

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
Paragraph superseded by Accounting Standards Update No. 2021-01.

65 Transition and Open Effective Date Information

i General Note: The Transition Section contains a description of the required transition provisions and a list of the related paragraphs that have been modified. This Section will retain the transition content during the transition period. After the transition period, the transition content will be removed yet will be available in archived versions of the Section.

General

> Transition Related to Accounting Standards Updates No. 2020-04, *Reference Rate Reform (Topic 848): Facilitation of the Effects of Reference Rate Reform on Financial Reporting*, and No. 2022-06, *Reference Rate Reform (Topic 848): Deferral of the Sunset Date of Topic 848*

848-10-65-1

The following represents the transition, end of application, and effective date information related to Accounting Standards Updates No. 2020-04, *Reference Rate Reform (Topic 848): Facilitation of the Effects of Reference Rate Reform on Financial Reporting*, and No. 2022-06, *Reference Rate Reform (Topic 848): Deferral of the Sunset Date of Topic 848*:

a. The pending content that links to this paragraph shall be effective for all entities as of March 12, 2020 through December 31, 2024, as follows:

1. An entity may elect to apply the pending content that links to this paragraph for contract modifications by Topic or Industry Subtopic as of any date from the beginning of an interim period that includes or is subsequent to March 12, 2020, or prospectively from a date within an interim period that includes or is subsequent to March 12, 2020, up to the date that the [financial statements are available to be issued](#). Once elected for a Topic or an Industry Subtopic, the pending content that links to this paragraph shall be applied prospectively for all eligible contract modifications for that Topic or Industry Subtopic in accordance with paragraph [848-20-35-1](#).

2. An entity may elect to apply the pending content that links to this paragraph to eligible hedging relationships existing as of the beginning of the interim period that includes March

12, 2020 and to new eligible hedging relationships entered into after the beginning of the interim period that includes March 12, 2020.

i. If an entity elects to apply any of the pending content that links to this paragraph for an eligible hedging relationship existing as of the beginning of the interim period that includes March 12, 2020, any adjustments as a result of those elections shall be reflected as of the beginning of that interim period and recognized in accordance with Subtopics [848-30](#), [848-40](#), and [848-50](#) (as applicable). If an entity elects to apply any of the pending content that links to this paragraph for a new hedging relationship entered into between the beginning of the interim period that includes March 12, 2020 and March 12, 2020, any adjustments as a result of those elections shall be reflected as of the beginning of the hedging relationship and recognized in accordance with Subtopics [848-30](#), [848-40](#), and [848-50](#) (as applicable).

01. For private companies that are not financial institutions as described in paragraph [942-320-50-1](#) and not-for-profit entities (except for not-for-profit entities that have issued, or are a conduit bond obligor for, securities that are traded, listed, or quoted on an exchange or an over-the-counter market), an entity shall update its hedge documentation (as applicable) noting the changes made before the next interim (if applicable) or annual financial statements are available to be issued.

02. For all other entities, an entity shall update its hedge documentation (as applicable) noting the changes made no later than when the entity performs its first quarterly assessment of effectiveness after the election.

3. The pending content that links to this paragraph shall not be applied to all the following:

i. Contract modifications made after December 31, 2024.

ii. New hedging relationships entered into after December 31, 2024.

iii. Hedging relationships evaluated for periods after December 31, 2024, except for hedging relationships existing as of December 31, 2024, that apply the following optional expedients in Subtopics [848-30](#) and [848-40](#) that shall be retained through the end of the hedging relationship (including for periods evaluated after December 31, 2024):

01. An optional expedient to the systematic and rational method used to recognize in earnings the components excluded from the assessment of effectiveness in paragraph [848-30-25-12](#).

02. An optional expedient to the rate to discount cash flows associated with the hedged item and any adjustment to the cash flows for the designated term or the partial term of the designated hedged item in a fair value hedge in paragraph [848-40-25-6](#).

03. An optional expedient to not periodically evaluate the conditions in paragraph [815-20-25-104\(d\) and \(g\)](#) when using the shortcut method for a fair value hedge in paragraph [848-40-25-8](#).

b. An entity may elect the optional expedients in Subtopics [848-30](#), [848-40](#), and [848-50](#) if it has adopted the amendments in Accounting Standards Update No. 2017-12, *Derivatives and Hedging (Topic 815): Targeted Improvements to Accounting for Hedging Activities*.

c. An entity that has not adopted the amendments in Update 2017-12 may elect the following optional expedients in Subtopics [848-30](#), [848-40](#), and [848-50](#):

1. An optional expedient allowing changes in critical terms of a hedging relationship in paragraphs [848-30-25-3 through 25-7](#).

2. An optional expedient allowing a change to the method designated for use in assessing hedge effectiveness in a cash flow hedge in paragraph [848-30-25-8](#) if the optional expedient method being elected is the simplified hedge accounting approach for eligible private companies for initial hedge effectiveness in paragraph [848-50-25-8](#) or for subsequent hedge effectiveness in paragraph [848-50-35-7](#).
 3. An optional expedient allowing an entity to assume that the hedged forecasted transaction in a cash flow hedge is probable of occurring in paragraph [848-50-25-2](#).
 4. An optional expedient allowing an entity to assume that the reference rate will not be replaced for the remainder of the hedging relationships in paragraph [848-50-25-11\(a\)](#) for initial hedge effectiveness and paragraph [848-50-35-17\(a\)](#) for subsequent hedge effectiveness when the entity is using any of the methods for assessing and measuring hedge effectiveness in a cash flow hedge on a quantitative basis and if both the hedged forecasted transaction and the hedging instrument have a reference rate that meets the scope of paragraph [848-10-15-3](#).
 5. An optional expedient allowing an entity to disregard certain requirements of the simplified hedge accounting approach for eligible private companies for initial hedge effectiveness in paragraph [848-50-25-8](#) or for subsequent hedge effectiveness in paragraph [848-50-35-7](#) in a cash flow hedge.
- d. The one-time election to sell, transfer, or both sell and transfer debt securities classified as held to maturity in accordance with paragraphs [848-10-35-1 through 35-2](#) may be made at any time after March 12, 2020, but no later than December 31, 2024.
- e. An entity shall provide the following disclosures:
1. The nature of and reason for electing to apply the pending content that links to this paragraph.
 2. The disclosures in (e)(1) in each interim and annual financial statement period in the fiscal year of application.

> Transition Related to Accounting Standards Updates No. 2021-01, *Reference Rate Reform (Topic 848): Scope*, and No. 2022-06, *Reference Rate Reform (Topic 848): Deferral of the Sunset Date of Topic 848*

848-10-65-2

The following represents the transition, end of application, and effective date information related to Accounting Standards Updates No. 2021-01, *Reference Rate Reform (Topic 848): Scope*, and No. 2022-06, *Reference Rate Reform (Topic 848): Deferral of the Sunset Date of Topic 848*:

- a. The pending content that links to this paragraph shall be effective for all entities as of January 7, 2021 through December 31, 2024, as follows:
1. An entity may elect to apply the pending content that links to this paragraph on contract modifications that change the interest rate used for margining, discounting, or contract price alignment retrospectively as of any date from the beginning of the interim period that includes March 12, 2020, or prospectively to new modifications from any date within the interim period that includes or is subsequent to January 7, 2021, up to the date that [financial statements are available to be issued](#). On the date that an entity elects to apply the pending content that links to this paragraph on contract modifications that change the interest rate used for margining, discounting, or contract price alignment, that pending content shall be applied to all eligible contract modifications modified in that manner in accordance with paragraph [848-20-35-1](#).

2. An entity may elect to apply the pending content that links to this paragraph to eligible hedging relationships existing as of the beginning of the interim period that includes March 12, 2020, and to new eligible hedging relationships entered into after the beginning of the interim period that includes March 12, 2020. If an entity elects to apply any of the pending content that links to this paragraph to an eligible hedging relationship, any adjustments as a result of those elections shall be reflected as of the application date of the election and recognized in accordance with Subtopics [848-30](#), [848-40](#), and [848-50](#) (as applicable).

i. For a private company that is not a financial institution as described in paragraph [942-320-50-1](#) and a not-for-profit entity (except for a not-for-profit entity that has issued, or is a conduit bond obligor for, securities that are traded, listed, or quoted on an exchange or an over-the-counter market) applying the pending content that links to this paragraph in a period before interim (if applicable) or annual financial statements are available to be issued, the entity shall update its hedge documentation (as applicable) noting the changes made before the next interim (if applicable) or annual financial statements are available to be issued. An entity that retrospectively applies the pending content that links to this paragraph to a prior interim (if applicable) or annual period shall update its hedge documentation (as applicable) noting the changes made for the prior periods in which the entity is retrospectively applying the guidance upon adoption.

ii. For any other entity applying the pending content that links to this paragraph before its first quarterly assessment of effectiveness after the election, the entity shall update its hedge documentation (as applicable) noting the changes made no later than when the entity performs its first quarterly assessment of effectiveness after the election. An entity that retrospectively applies the pending content that links to this paragraph to a prior interim or annual period shall update its hedge documentation (as applicable) noting the changes made for the prior periods in which the entity is retrospectively applying the pending content that links to this paragraph upon adoption.

3. The pending content that links to this paragraph shall not be applied to all the following:

i. Contract modifications made after December 31, 2024.

ii. New hedging relationships entered into after December 31, 2024.

iii. Hedging relationships evaluated for periods after December 31, 2024, except for hedging relationships that apply the following optional expedients in Subtopics [848-30](#), [848-40](#), and [848-50](#) that shall be retained through the end of the hedging relationship (including for periods evaluated after December 31, 2024):

01. An optional expedient to adjust the fair value hedge basis adjustment in a fair value hedge accounted for under the shortcut method using a reasonable approach in paragraph [848-30-25-11B](#).

02. An optional expedient to not periodically evaluate the conditions in paragraph [815-20-25-104\(d\) and \(g\)](#) when using the shortcut method for a fair value hedge in paragraph [848-40-25-8](#) if the entity elected the practical expedient in paragraph [848-30-25-11B](#). (If an entity elects to apply the optional expedient in paragraph [848-40-25-8](#) in accordance with paragraph [848-30-25-10](#), it shall cease applying that expedient on December 31, 2024.)

03. An optional expedient to adjust the amount recorded in accumulated other comprehensive income using a reasonable approach in paragraph [848-30-25-11C](#).

04. An optional expedient to continue using a subsequent assessment method that assumes perfect effectiveness in paragraphs [848-50-35-4 through 35-9](#) for a cash flow hedge if the entity elected the practical expedient in paragraph [848-30-25-11C](#).

- b. An entity may elect the optional expedients in Subtopics [848-30](#), [848-40](#), and [848-50](#) if it has adopted the amendments in Update 2017-12.
- c. An entity that has not adopted the amendments in Update 2017-12 may elect the optional expedient allowing a change to the method designated for use in assessing hedge effectiveness in a cash flow hedge in paragraph [848-30-25-11A\(b\)](#) if the optional expedient method being elected is the simplified hedge accounting approach for eligible private companies for subsequent hedge effectiveness in paragraph [848-50-35-7](#).
- d. An entity shall provide the following disclosures:
 - 1. The nature of and reason for electing to apply the pending content that links to this paragraph.
 - 2. The disclosures in (d)(1) in each interim (if applicable) and annual financial statement period in the fiscal year of application.

848 Reference Rate Reform

20 Contract Modifications

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

848-20-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	848-20-05-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	848-20-05-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-20-15-1 through 15-11	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	848-20-15-1 through 15-11	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-20-15-2 through 15-5	Amended	Accounting Standards Update No. 2021-01	01/07/2021
	848-20-15-2A	Superseded	Accounting Standards Update No. 2021-01	01/07/2021

848-20-15-2A	Added	Accounting Standards Update No. 2021-01	01/07/2021
848-20-35-1	Amended	Accounting Standards Update No. 2021-01	01/07/2021
848-20-35-1 through 35-15	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-20-35-1 through 35-15	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-20-35-5	Amended	Accounting Standards Update No. 2021-01	01/07/2021
848-20-35-8	Amended	Accounting Standards Update No. 2020-06	08/05/2020
848-20-55-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-20-55-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-20-55-2	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-20-55-2	Added	Accounting Standards Update No. 2020-04	03/12/2020

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

848-20-05-1 This Subtopic provides optional expedients for contract modifications undertaken because of reference rate reform. It specifically addresses the accounting for modifications of contracts within the scope of Topics [310](#) on receivables, [470](#) on debt, and [840](#) and [842](#) on leases and Subtopic [815-15](#) on derivatives and hedging—embedded derivatives. This Subtopic also provides a principle to account for modifications of contracts within the scope of other Topics or Industry Subtopics not specifically addressed within this Subtopic.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
 Paragraph superseded by Accounting Standards Update No. 2020-04.

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

848-20-15-1 This Subtopic provides guidance on optional expedients for accounting for contract modifications when one or more terms are modified because of reference rate reform.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
 Paragraph superseded by Accounting Standards Update No. 2020-04.

> Modifications of Terms

848-20-15-2 The guidance in this Subtopic, if elected, shall apply to contract modifications if the terms that are modified directly replace, or have the potential to replace, a reference rate within the scope of paragraph [848-10-15-3](#) with another interest rate index. If other terms are contemporaneously modified in a manner that changes, or has the potential to change, the amount or timing of contractual cash flows, the guidance in this Subtopic shall apply only if those modifications are related to the replacement of a reference rate. For example, the addition of contractual fallback terms or the amendment of existing contractual fallback terms related to the replacement of a reference rate that are contingent on one or more events occurring has the potential to change the amount or timing of contractual cash flows and the entity potentially would be eligible to apply the guidance in this Subtopic.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
The guidance in this Subtopic, if elected, shall apply to contracts that meet the scope of paragraph [848-10-15-3](#) if either or both of the following occur:

- a. The terms that are modified directly replace, or have the potential to replace, a reference rate within the scope of paragraph [848-10-15-3](#) with another interest rate index. If other terms are contemporaneously modified in a manner that changes, or has the potential to change, the amount or timing of contractual cash flows, the guidance in this Subtopic shall apply only if those modifications are related to the replacement of a reference rate. For example, the addition of contractual fallback terms or the amendment of existing contractual fallback terms related to the replacement of a reference rate that are contingent on one or more events occurring has the potential to change the amount or timing of contractual cash flows and the entity potentially would be eligible to apply the guidance in this Subtopic.
- b. The interest rate used for margining, discounting, or contract price alignment is modified as a result of reference rate reform.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-15-2 will be superseded upon transition, together with its heading:

> **Modifications of Terms**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-15-2A

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
Certain optional expedients in this Subtopic, if elected, shall apply to derivative instruments that meet the scope of paragraph [848-10-15-3A](#) (see paragraph [848-10-55-1](#)).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

[Paragraph superseded by Accounting Standards Update No. 2021-01.](#)

848-20-15-3

The guidance in this Subtopic shall not apply if a contract modification is made to a term that changes, or has the potential to change, the amount or timing of contractual cash flows and is unrelated to the replacement of a reference rate. That is, this Subtopic shall not apply if contract modifications are made contemporaneously to terms that are unrelated to the replacement of a reference rate.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

Other than a modification of the interest rate used for margining, discounting, or contract price alignment in accordance with paragraph [848-20-15-2\(b\)](#), for contracts that meet the scope of paragraph [848-10-15-3](#), the guidance in this Subtopic shall not apply if a contract modification is made to a term that changes, or has the potential to change, the amount or timing of contractual cash flows and is unrelated to the replacement of a reference rate. That is, this Subtopic shall not apply if contract modifications are made contemporaneously to terms that are unrelated to the replacement of a reference rate.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)**848-20-15-4**

Contemporaneous modifications of contract terms that do not change, or do not have the potential to change, the amount or timing of contractual cash flows shall not preclude application of the guidance in this Subtopic, regardless of whether those contemporaneous contract modifications are related or unrelated to the replacement of a reference rate.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

Contemporaneous modifications of contract terms that do not change, or do not have the potential to change, the amount or timing of contractual cash flows shall not preclude application of the guidance in this Subtopic, regardless of whether those contemporaneous contract modifications are related or unrelated to the replacement of a reference rate or the modification of the interest rate used for margining, discounting, or contract price alignment as a result of reference rate reform.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > Identifying Changes to Terms Related and Unrelated to the Replacement of the Reference Rate

848-20-15-5

Changes to terms that are related to the replacement of the reference rate are those that are made to effect the transition for reference rate reform and are not the result of a business decision that is separate from or in addition to changes to the terms of a contract to effect that transition. Examples of changes to terms that are related to the replacement of a reference rate in accordance with the guidance in paragraph [848-20-15-2](#) include the following:

- a. Changes to the referenced interest rate index (for example, a change from London Interbank Offered Rate [LIBOR] to another interest rate index)

- b. Addition of or changes to a spread adjustment (for example, adding or adjusting a spread to the interest rate index, amending the fixed rate for an interest rate swap, or paying or receiving a cash settlement for any difference intended to compensate for the difference in reference rates)
- c. Changes to the reset period, reset dates, day-count conventions, business-day conventions, payment dates, payment frequency, and repricing calculation (for example, a change from a forward-looking term rate to an overnight rate or a compounded overnight rate in arrears)
- d. Changes to the strike price of an existing interest rate option (including an embedded interest rate option)
- e. Addition of an interest rate floor or cap that is out of the money on the basis of the spot rate at the time of the amendment of the contract
- f. Addition of a prepayment option for which exercise is contingent upon the replacement reference interest rate index not being determinable in accordance with the terms of the agreement
- g. Addition of or changes to contractual fallback terms that are consistent with fallback terms developed by a regulator or by a private-sector working group convened by a regulator
- h. Changes to terms (including those in the examples in paragraph [848-20-15-6](#)) that are necessary to comply with laws or regulations or to align with market conventions for the replacement rate.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

Changes to terms that are related to the replacement of the reference rate are those that are made to effect the transition for reference rate reform and are not the result of a business decision that is separate from or in addition to changes to the terms of a contract to effect that transition. Examples of changes to terms that are related to the replacement of a reference rate in accordance with the guidance in paragraph [848-20-15-2\(a\)](#) include the following:

- a. Changes to the referenced interest rate index (for example, a change from London Interbank Offered Rate [LIBOR] to another interest rate index)
- b. Addition of or changes to a spread adjustment (for example, adding or adjusting a spread to the interest rate index, amending the fixed rate for an interest rate swap, or paying or receiving a cash settlement for any difference intended to compensate for the difference in reference rates)
- c. Changes to the reset period, reset dates, day-count conventions, business-day conventions, payment dates, payment frequency, and repricing calculation (for example, a change from a forward-looking term rate to an overnight rate or a compounded overnight rate in arrears)
- d. Changes to the strike price of an existing interest rate option (including an embedded interest rate option)
- e. Addition of an interest rate floor or cap that is out of the money on the basis of the spot rate at the time of the amendment of the contract
- f. Addition of a prepayment option for which exercise is contingent upon the replacement reference interest rate index not being determinable in accordance with the terms of the agreement
- g. Addition of or changes to contractual fallback terms that are consistent with fallback terms developed by a regulator or by a private-sector working group convened by a regulator
- h. Changes to terms (including those in the examples in paragraph [848-20-15-6](#)) that are necessary to comply with laws or regulations or to align with market conventions for the replacement rate.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-15-5 will be superseded upon transition, together with its heading:
> > Identifying Changes to Terms Related and Unrelated to the Replacement of the Reference Rate

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-15-6

Examples of changes to terms that are generally unrelated to the replacement of a reference rate in accordance with paragraph [848-20-15-3](#) include the following:

- a. Changes to the notional amount
- b. Changes to the maturity date
- c. Changes from a referenced interest rate index to a stated fixed rate
- d. Changes to the loan structure (for example, changing a term loan to a revolver loan)
- e. The addition of an underlying or variable unrelated to the referenced rate index (for example, addition of payments that are indexed to the price of gold)

- f. The addition of an interest rate floor or cap that is in the money on the basis of the spot rate at the time of the amendment of the contract
- g. A concession granted to a debtor experiencing financial difficulty
- h. The addition or removal of a prepayment or conversion option except for the addition of a prepayment option for which exercise is contingent upon the replacement reference interest rate index not being determinable in accordance with the terms of the agreement
- i. The addition or removal of a feature that is intended to provide leverage
- j. Changes to the counterparty except in accordance with paragraphs 815-20-55-56A, 815-25-40-1A, and 815-30-40-1A
- k. Changes to the priority or seniority of an obligation in the event of a default or a liquidation event
- l. The addition or termination of a right to use one or more underlying assets in a lease contract
- m. Changes to renewal, termination, or purchase option provisions in a lease contract.

 PENDING CONTENT ?

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· · > Changes to Contractual Fallback Terms

848-20-15-7 The addition of contractual fallback terms, or the amendment of existing contractual fallback terms, to be consistent with fallback terms developed by a regulator or by a private-sector working group convened by a regulator is presumed to be related to reference rate reform in accordance with paragraph 848-20-15-5(g). That includes a predefined method to replace the current reference rate upon the discontinuance (or an anticipated discontinuance) of the reference rate.

 PENDING CONTENT ?

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-15-7 will be superseded upon transition, together with its heading:

> > > **Changes to Contractual Fallback Terms**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-15-8 If an entity modifies a contract to add contractual fallback terms or to change contractual fallback terms in a manner that is not consistent with fallback terms developed by a regulator or by a private-sector working group convened by a regulator, the entity shall assess whether the fallback terms include, or have the potential to include, a term that is unrelated to reference rate reform in accordance with paragraph 848-20-15-6 (for example, whether it is possible that the replacement rate could be a stated fixed rate). However, the inclusion of fallback terms that include, or have the potential to include, a term that is unrelated to reference rate reform shall be disregarded by an entity if at the time that the contractual fallback terms are added or amended the entity determines that activation of the term unrelated to reference rate reform is not probable of occurring if the fallback terms are triggered.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· · > Changes from a Referenced Interest Rate Index to a Stated Fixed Rate

848-20-15-9 A contract modification that directly replaces a reference rate index with a stated fixed rate is unrelated to reference rate reform in accordance with paragraph [848-20-15-6\(c\)](#). However, the selection of a rate that is the last published rate of an interest rate index that is discontinued is not considered a stated fixed rate for the purpose of paragraph [848-20-15-6\(c\)](#) (for example, a reference to the last published LIBOR rate is not considered unrelated to reference rate reform).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-15-9 will be superseded upon transition, together with its heading:

> > > **Changes from a Referenced Interest Rate Index to a Stated Fixed Rate**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-15-10 If a contract has existing contractual fallback terms that replace the current reference rate with a stated fixed rate upon the discontinuation of that current reference rate, a modification to those contractual fallback terms to replace the stated fixed rate with a new interest rate index is a change that is related to the replacement of the reference rate in accordance with paragraph [848-20-15-5](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

> Modifications before the Discontinuance of a Reference Rate

848-20-15-11 An entity may modify the terms of a contract in anticipation of the discontinuance of the reference rate (that is, before the actual discontinuance of the reference rate).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-15-11 will be superseded upon transition, together with its heading:

> **Modifications before the Discontinuance of a Reference Rate**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

35 Subsequent Measurement

i General Note: The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Option to Apply Expedients

- 848-20-35-1** An entity may elect to apply the guidance in this Subtopic to account for contract modifications that meet the scope of paragraphs [848-20-15-2 through 15-3](#). If an entity elects to apply the guidance in this Subtopic, the entity shall apply it for all contract modifications that meet the scope of paragraphs [848-20-15-2 through 15-3](#) that otherwise would be accounted for in accordance with the same Topic or Industry Subtopic. For example:
- If an entity applies the guidance in this Subtopic to modifications of a lease for a lessee accounted for in accordance with Topic [842](#), it shall apply the guidance in this Subtopic to all modifications of leases accounted for in accordance with Topic [842](#) that meet the scope of paragraphs [848-20-15-2 through 15-3](#).
 - If an insurance entity applies the guidance in this Subtopic to modifications of a contract accounted for in accordance with Topic [310](#) on receivables, it shall apply the guidance in this Subtopic to all modifications of contracts accounted for in accordance with Industry Subtopic [944-310](#) that meet the scope of paragraphs [848-20-15-2 through 15-3](#). The entity does not need to apply the guidance in this Subtopic to contracts within the scope of other Industry Subtopics of Topic [944](#) that meet the scope of paragraphs [848-20-15-2 through 15-3](#).

PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

An entity may elect to apply the guidance in this Subtopic to account for contract modifications that meet the scope of paragraphs [848-20-15-2 through 15-3](#). If an entity elects to apply the guidance in this Subtopic, the entity shall apply it for all contract modifications that meet the scope of paragraphs [848-20-15-2 through 15-3](#) that otherwise would be accounted for in accordance with the same Topic or Industry Subtopic with the exception of derivative instruments that change the interest rate used for margining, discounting, or contract price alignment. The election to apply the guidance in this Subtopic to account for the modification of the interest rate used for margining, discounting, or contract price alignment for derivative instruments is separate from the election to apply the guidance in this Subtopic to account for other derivative instrument modifications. For example:

- a. If an entity applies the guidance in this Subtopic to modifications of a lease for a lessee accounted for in accordance with Topic [842](#), it shall apply the guidance in this Subtopic to all modifications of leases accounted for in accordance with Topic [842](#) that meet the scope of paragraphs [848-20-15-2 through 15-3](#).
- b. If an insurance entity applies the guidance in this Subtopic to modifications of a contract accounted for in accordance with Topic [310](#) on receivables, it shall apply the guidance in this Subtopic to all modifications of contracts accounted for in accordance with Industry Subtopic [944-310](#) that meet the scope of paragraphs [848-20-15-2 through 15-3](#). The entity does not need to apply the guidance in this Subtopic to contracts within the scope of other Industry Subtopics of Topic [944](#) that meet the scope of paragraphs [848-20-15-2 through 15-3](#).
- c. If an entity applies the guidance in this Subtopic to modifications of an interest rate used for margining, discounting, or contract price alignment for derivative instruments as of July 1, 2020, it shall apply the guidance in this Subtopic to all modifications of an interest rate used for margining, discounting, or contract price alignment for derivative instruments on and after July 1, 2020. The entity is not required to apply the guidance in this Subtopic to other modifications of derivative instruments (for example, changes in the reference rate index) as of July 1, 2020. For example, the entity may elect to apply the guidance in this Subtopic to other derivative instrument modifications as of January 1, 2021. Alternatively, the entity may elect not to apply the guidance in this Subtopic to other derivative instrument modifications at any date.

PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-1 will be superseded upon transition, together with its heading:

> **Option to Apply Expedients**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-35-2

If a contract modification does not meet the guidance for applying the optional relief in this Subtopic and, therefore, an entity must apply the guidance in another Topic or Industry Subtopic to assess the contract modification, that result shall not preclude the entity from applying the optional expedients in this Subtopic if other contract modifications meet the guidance for applying this Subtopic.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | Transition Guidance: [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

> Optional Expedient: Contract Modifications Due to Reference Rate Reform

- 848-20-35-3** This Subtopic provides optional expedients for accounting for modifications of contracts accounted for in accordance with the following Topics that meet the scope of paragraphs [848-20-15-2 through 15-3](#):
- a. Topic [310](#) on receivables

b. Topic [470](#) on debt

c. Topic [840](#) or [842](#) on leases.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | Transition Guidance: [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-3 will be superseded upon transition, together with its heading:

> Optional Expedient: Contract Modifications Due to Reference Rate Reform

Paragraph superseded by Accounting Standards Update No. 2020-04.

- 848-20-35-4** If a contract is not within the scope of the Topics referenced in paragraph [848-20-35-3](#), an entity shall have the option to account for and present a modification that meets the scope of paragraphs [848-20-15-2 through 15-3](#) as an event that does not require contract remeasurement at the modification date or reassessment of a previous accounting determination required under the relevant Topic or Industry Subtopic. Paragraph [848-20-55-2](#) includes examples that illustrate the application of that guidance.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | Transition Guidance: [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

- 848-20-35-5** If the optional expedient in paragraphs [848-20-35-3 through 35-4](#) is elected, it shall be applied to all contracts accounted for under the relevant Topic or Industry Subtopic as described in paragraph [848-20-35-1](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
If the optional expedient in paragraphs [848-20-35-3 through 35-4](#) is elected, it shall be applied to all contracts accounted for under the relevant Topic or Industry Subtopic with the exception of derivative instruments that change the interest rate used for margining, discounting, or contract price alignment, as described in paragraph [848-20-35-1](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > Contracts within the Scope of Topic 310

848-20-35-6 If an entity elects the optional expedient in this paragraph, the entity shall account for a modification of a contract within the scope of Topic [310](#) that meets the scope of paragraphs [848-20-15-2 through 15-3](#) as if the modification was only minor in accordance with paragraph [310-20-35-10](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-6 will be superseded upon transition, together with its heading:

> > **Contracts within the Scope of Topic 310**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-35-7 If the optional expedient in paragraph [848-20-35-6](#) is elected, it shall be applied to all contracts subject to Topic [310](#) as described in paragraph [848-20-35-1](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > Contracts within the Scope of Topic 470

848-20-35-8 If an entity elects the optional expedient in this paragraph, the entity shall account for a modification of a contract within the scope of Topic [470](#) that meets the scope of paragraphs [848-20-15-2 through 15-3](#) in accordance with paragraphs [470-50-40-14](#), [470-50-40-17\(b\)](#), and [470-50-40-18\(b\)](#) as if the modification was not substantial. That is, the original contract and the new contract shall be accounted for as if they were not substantially different from one another, and the modification shall not be accounted for in the same manner as a debt extinguishment in accordance with paragraph [470-50-40-13](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-8 will be superseded upon transition, together with its heading:

> > **Contracts within the Scope of Topic 470**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-35-9 If the optional expedient in paragraph [848-20-35-8](#) is elected, it shall be applied to all contracts under Topic [470](#) as described in paragraph [848-20-35-1](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· · > **Debt Exchanges or Modifications within a Year of the Current Modification**

848-20-35-10 If the optional expedient in paragraph [848-20-35-8](#) is elected, an entity that applies the 10 percent cash flow test described in paragraph [470-50-40-10](#) for any subsequent contract modification within a year shall consider only terms and provisions that were in effect immediately following the election of the optional expedient for the particular contract.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-10 will be superseded upon transition, together with its heading:

> > > **Debt Exchanges or Modifications within a Year of the Current Modification**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > **Contracts within the Scope of Topic 840 or 842**

848-20-35-11 If an entity elects the optional expedient in this paragraph for a modification of a contract within the scope of Topic [840](#) or [842](#) that meets the scope of paragraphs [848-20-15-2](#) through [15-3](#), the entity shall not do any of the following:

- a. Reassess lease classification and the discount rate (for example, the incremental borrowing rate for a lessee)
- b. Remeasure lease payments
- c. Perform other reassessments or remeasurements that would otherwise be required under Topic [840](#) or [842](#) when a modification of a lease contract is not accounted for as a separate contract.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-11 will be superseded upon transition, together with its heading:

> > **Contracts within the Scope of Topic 840 or 842**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-35-12 If the optional expedient in paragraph [848-20-35-11](#) is elected, it shall be applied to all contracts under Topic [840](#) or [842](#) as described in paragraph [848-20-35-1](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· · > Lessees

848-20-35-13 If the optional expedient in paragraph [848-20-35-11](#) is elected, the modification of the reference rate and other terms related to the replacement of the reference rate on which variable lease payments in the original contract depended shall not require an entity to remeasure the lease liability. The change in the reference rate shall be treated in the same manner as the variable lease payments that were dependent on the reference rate in the original lease. That change shall not be included in the calculation of the lease liability; that is, the change shall be recognized in profit or loss in the period in which the obligation for those payments is incurred.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-13 will be superseded upon transition, together with its heading:

> > > **Lessees**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > Embedded Derivatives within the Scope of Subtopic 815-15

848-20-35-14 If the optional expedient in this paragraph is elected, modification of a contract that meets the scope of paragraphs [848-20-15-2 through 15-3](#) (including the addition of an interest rate floor or cap that is out of the money in paragraph [848-20-15-5\(e\)](#)) shall not require an entity to reassess its original conclusion about whether that contract contains an embedded derivative that is clearly and closely related to the economic characteristics and risks of the host contract for the purposes of paragraph [815-15-25-1\(a\)](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-20-35-14 will be superseded upon transition, together with its heading:

> > **Embedded Derivatives within the Scope of Subtopic 815-15**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-35-15 If the optional expedient in paragraph [848-20-35-14](#) is elected, it shall be applied to all contracts under Subtopic [815-15](#) as described in paragraph [848-20-35-1](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

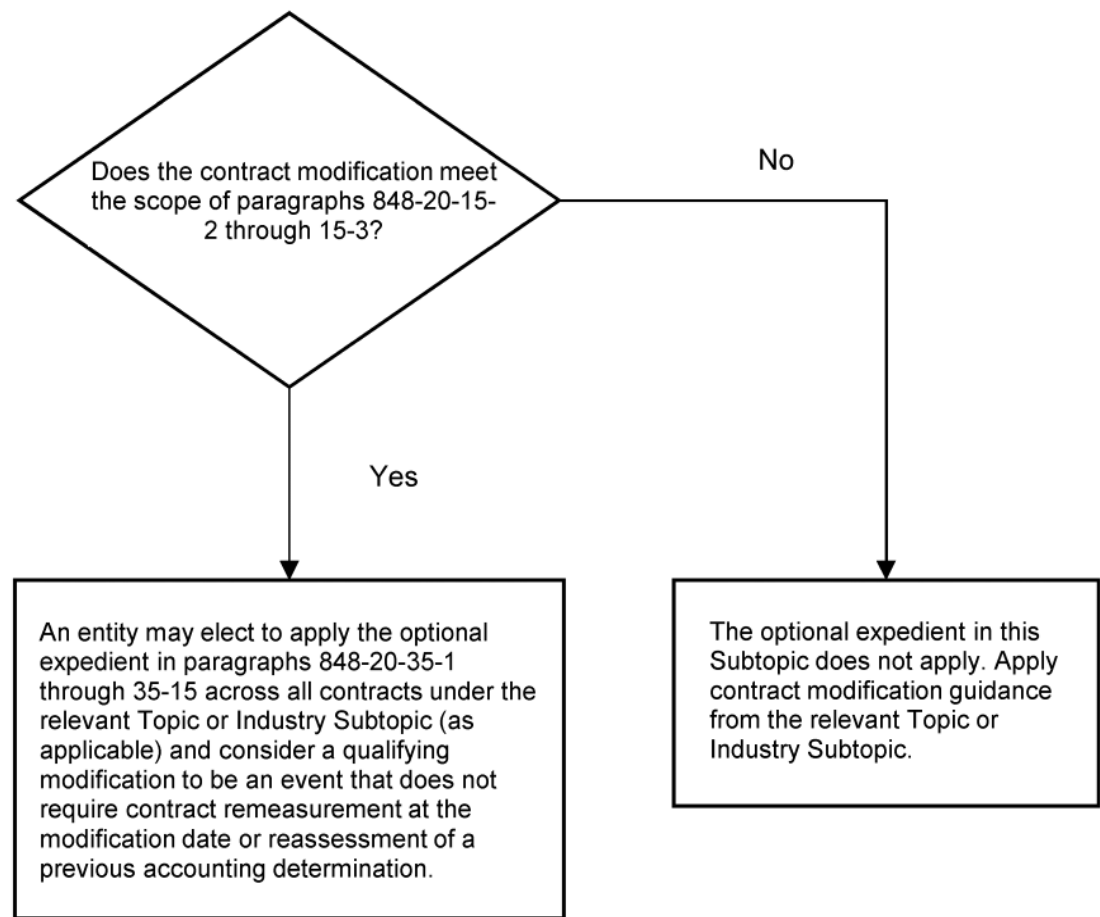
55 Implementation Guidance and Illustrations

 **General Note:** The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

General

> Implementation Guidance

848-20-55-1 The following flowchart summarizes the guidance in this Subtopic.



PENDING CONTENT

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

***Editor's Note:** Paragraph 848-20-55-1 will be superseded upon transition, together with its heading:*

> Implementation Guidance

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-20-55-2 The following table illustrates the potential outcomes of applying the guidance in paragraph [848-20-35-4](#) to contract modifications that meet the scope of paragraphs [848-20-15-2 through 15-3](#) but are not within the scope of the Topics listed in paragraph [848-20-35-3](#). This table is not intended to be all-inclusive of the potential application of paragraph [848-20-35-4](#).

Contract or Instrument Modified as a Result of Reference Rate Reform	Potential Outcome of Applying Paragraph 848-20-35-4
An instrument accounted for as a derivative instrument in accordance with Subtopic 815-10	An entity should not reassess the modified instrument to determine whether it is a hybrid instrument and whether it includes a financing element in accordance with paragraphs 815-10-45-11 through 45-15 . The modified instrument should be accounted for

	and presented in the same manner as the instrument existing before the modification.
A contract issued by an insurance entity and accounted for in accordance with Topic 944	An entity should not reassess the modified contract to determine whether it is substantially unchanged in accordance with Subtopic 944-30. The modified contract should be accounted for and presented as a continuation of the contract existing before the modification.
A contract accounted for in accordance with Topic 606 on revenue from contracts with customers	An entity should not reassess the modified contract in accordance with the contract modification guidance in paragraphs 606-10-25-10 through 25-13. Cash flow changes resulting from variability in the replacement reference rate should be accounted for and presented in the same manner as the cash flow changes that resulted from variability in the replaced reference rate before the modification for reference rate reform.
A contract with a counterparty entity that is within the scope of the Variable Interest Entities (VIE) Subsections in accordance with Topic 810 on consolidation	An entity should not reconsider the determination of the counterparty entity's VIE status in accordance with paragraph 810-10-35-4. The counterparty entity's VIE status should remain unchanged from the VIE status determined before the modification.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | Transition Guidance: 848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.

848 Reference Rate Reform

30 Hedging—General

00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

848-30-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date

848-30-05-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-30-05-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-30-15-1	Amended	Accounting Standards Update No. 2021-01	01/07/2021
848-30-15-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-30-15-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-30-25-1 through 25-13	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-30-25-1 through 25-13	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-30-25-7A	Superseded	Accounting Standards Update No. 2021-01	01/07/2021
848-30-25-7A	Added	Accounting Standards Update No. 2021-01	01/07/2021
848-30-25-9 through 25-11	Amended	Accounting Standards Update No. 2021-01	01/07/2021
848-30-25-11A through 25-11C	Superseded	Accounting Standards Update No. 2021-01	01/07/2021
848-30-25-11A through 25-11C	Added	Accounting Standards Update No. 2021-01	01/07/2021

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

848-30-05-1 This Subtopic provides guidance on optional expedients for allowing hedging relationships to continue when one or more of the critical terms of the hedging relationship change because of reference rate reform.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

15 Scope and Scope Exceptions

 **General Note:**The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

848-30-15-1 The guidance in this Subtopic provides optional expedients for the requirements of Subtopic [815-20](#) related to changes in the critical terms of a hedging relationship that may be applied if the hedging instrument or the hedged item or the hedged forecasted transaction in the hedging relationship references a rate that meets the scope of paragraph [848-10-15-3](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
The guidance in this Subtopic provides optional expedients for the requirements of Subtopic [815-20](#) related to changes in the critical terms of a hedging relationship that may be applied if the hedging instrument or the hedged item or the hedged forecasted transaction in the hedging relationship references a rate that meets the scope of paragraph [848-10-15-3](#). Certain optional expedients in this Subtopic may be applied if the hedging instrument meets the scope of paragraph [848-10-15-3A](#) (see paragraph [848-10-55-1](#)).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

848-30-25-1 This Section sets forth the conditions that allow amendments to be made to the formal designation and documentation of hedging relationships upon a change due to reference rate reform.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

> Option to Apply Expedients

848-30-25-2 An entity may elect to apply the guidance in this Subtopic for hedging relationships affected by reference rate reform on an individual hedging relationship basis. In addition, an entity may elect to apply the different optional expedients specified in paragraphs [848-30-25-3 through 25-13](#) on an individual hedging relationship basis. That is, each optional expedient may be elected for each individual hedging relationship and may not be elected for other similar hedging relationships. In addition, an entity may elect multiple optional expedients for the same individual hedging relationship and may elect those optional expedients in different reporting periods. For example, for a cash flow hedge, an entity may elect the optional expedient for the changes in the critical terms of the hedging instrument in accordance with paragraphs [848-30-25-5 through 25-7](#) when the fallback protocol of the hedging instrument is changed. In a different reporting period, the entity may elect to apply the optional expedient in paragraph [848-30-25-8](#) to change the method used in assessing hedge effectiveness and may elect to apply an optional expedient for subsequent assessments of effectiveness set forth in Subtopic [848-50](#).

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-30-25-2 will be superseded upon transition, together with its heading:

> Option to Apply Expedients

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

> Optional Expedient: Change to the Formal Designation and Documentation for Change in Critical Terms

848-30-25-3 This paragraph provides an optional expedient for the guidance in paragraph 815-20-55-56. A change in the critical terms of the hedging relationship as documented at inception because of the election of an optional expedient in this Subtopic and Subtopics 848-40 and 848-50 shall not, in and of itself, be considered a dedesignation of the hedging relationship.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** 848-10-65-1

Editor's Note: Paragraph 848-30-25-3 will be superseded upon transition, together with its heading:

> **Optional Expedient: Change to the Formal Designation and Documentation for Change in Critical Terms**

Paragraph superseded by Accounting Standards Update No. 2020-04.

848-30-25-4 If an entity elects the optional expedient in paragraph 848-30-25-3, the entity shall update its hedge documentation (as applicable) noting the changes made no later than when the entity performs its first assessment of effectiveness after the change was identified in accordance with paragraphs 815-20-25-3(b)(2)(iv)(02) and 815-20-25-3A.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** 848-10-65-1

Paragraph superseded by Accounting Standards Update No. 2020-04.

· > **Optional Expedient: Changes in the Critical Terms of a Hedging Instrument, a Hedged Item, or a Forecasted Transaction Designated in a Fair Value Hedge, a Cash Flow Hedge, or a Net Investment Hedge**

848-30-25-5 An entity may change the contractual terms of a hedging instrument, a hedged item, or a forecasted transaction designated in a fair value hedge, a cash flow hedge, or a net investment hedge that is affected or expected to be affected by reference rate reform and not be required to dedesignate the hedging relationship if the changes to the contractual terms meet the scope of paragraphs 848-20-15-2 through 15-3.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** 848-10-65-1

Editor's Note: Paragraph 848-30-25-5 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Changes in the Critical Terms of a Hedging Instrument, a Hedged Item, or a Forecasted Transaction Designated in a Fair Value Hedge, a Cash Flow Hedge, or a Net Investment Hedge**

Paragraph superseded by Accounting Standards Update No. 2020-04.

848-30-25-6 Some derivative instruments designated as hedging instruments may be modified through direct contract amendments to effectuate a change because of reference rate reform. Alternatively, a derivative designated as a hedging instrument may be modified to effectuate the changes because of reference rate reform by both:

- a. Entering into a fully offsetting derivative contract to effectively cancel the original derivative contract
- b. Contemporaneously entering into a new derivative contract with the revised contractual terms.

Both methods of effectuating changes to contractual terms as a result of reference rate reform qualify for the optional expedient in paragraph [848-30-25-5](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-30-25-7

A change to the interest rate used for margining, discounting, or contract price alignment for a derivative that is a hedging instrument in a fair value hedge, a cash flow hedge, or a net investment hedge shall not be considered a change to the critical terms of the hedging relationship that requires dedesignating the hedging relationship because of that change.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· · > Optional Expedient: Changes to Repricing Intervals and Dates of Hedging Instruments in a Net Investment Hedge

848-30-25-7A

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
If a receive-variable-rate, pay-variable-rate cross-currency interest rate swap that references a rate that meets the scope of paragraph [848-10-15-3](#) is designated as a hedging instrument in a net investment hedge in accordance with paragraphs [815-20-25-66 through 25-70](#), an entity may disregard the condition in paragraph [815-20-25-67\(a\)\(2\)](#) that both legs of the swap have the same repricing intervals and dates until neither of the variable legs of the cross-currency interest rate swap designated references a rate that meets the scope of paragraph [848-10-15-3](#) or until the guidance in this Topic is superseded (see paragraph [848-10-65-2\(a\)\(3\)](#)).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

Editor's Note: Paragraph 848-30-25-7A will be superseded upon transition, together with its heading:

> > > **Optional Expedient: Changes to Repricing Intervals and Dates of Hedging Instruments in a Net Investment Hedge**

[Paragraph superseded by Accounting Standards Update No. 2021-01.](#)

· > Optional Expedient: Changes to the Method Designated for Use in Assessing Hedge Effectiveness in a Cash Flow Hedge

848-30-25-8

An entity may change the method designated for use in assessing hedge effectiveness and documented at hedge inception in accordance with paragraph [815-20-25-3\(b\)\(iv\)\(02\)](#) if both of the following criteria are met:

- a. Either the hedging instrument or the hedged forecasted transaction references a rate that meets the scope of paragraph [848-10-15-3](#).
- b. The new method designated for use in assessing hedge effectiveness is an optional expedient specified in Subtopic [848-50](#).

That expedient may be elected for a hedging relationship at the date an entity elects to apply any optional expedient method in accordance with this Subtopic. An entity also may change the method designated for use in assessing hedge effectiveness in Subtopics [815-20](#) and [815-30](#) upon the required discontinuance of an optional expedient as discussed in paragraph [848-50-35-19](#). An entity shall not be required to assess whether the replacement method is an improved method for assessing effectiveness or a preferable method of applying an accounting principle in accordance with Topic [250](#) on accounting changes and error corrections.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-30-25-8 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Changes to the Method Designated for Use in Assessing Hedge Effectiveness in a Cash Flow Hedge**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > **Optional Expedient: Changes to the Proportion of a Hedged Item or a Hedging Instrument in a Fair Value Hedge and to the Hedging Instruments That Are Designated in a Fair Value Hedge or a Cash Flow Hedge**

848-30-25-9

If the hedging instrument or the hedged forecasted transaction or the designated benchmark interest rate in a fair value hedge references a rate that meets the scope of paragraph [848-10-15-3](#) and the hedging relationship is anticipated to be affected by reference rate reform, an entity may change:

- a. The proportion of a designated hedged item or a derivative instrument that is designated as a hedging instrument in a fair value hedge relationship. An entity may elect to rebalance the hedging relationship through any of the following approaches, including any combination of these approaches:

1. Increasing the designated notional amount of the hedging instrument
2. Decreasing the designated notional amount of the hedging instrument
3. Increasing the designated portion of the hedged item
4. Decreasing the designated portion of the hedged item.

If an entity applies the optional expedient in (3) or (4), the cumulative effect of changing the designated proportion of the hedged item shall be recognized as an adjustment to the basis adjustment that shall be recognized in accordance with paragraph [848-40-25-7](#).

- b. The designated hedging instrument to combine two or more derivative instruments, or proportions of those instruments, to be jointly designated as the hedging instrument in a hedge relationship.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

If the hedging instrument or the hedged forecasted transaction or the designated benchmark interest rate in a fair value hedge references a rate that meets the scope of paragraph [848-10-15-3](#) and the hedging relationship is anticipated to be affected by reference rate reform, an entity may change any of the following without dedesignating the hedging relationship in accordance with paragraph [848-30-25-3](#):

a. The proportion of a designated hedged item or a derivative instrument that is designated as a hedging instrument in a fair value hedge relationship. An entity may elect to rebalance the hedging relationship through any of the following approaches, including any combination of these approaches:

1. Increasing the designated notional amount of the hedging instrument
2. Decreasing the designated notional amount of the hedging instrument
3. Increasing the designated portion of the hedged item
4. Decreasing the designated portion of the hedged item.

If an entity applies the optional expedient in (3) or (4), the cumulative effect of changing the designated proportion of the hedged item shall be recognized as an adjustment to the basis adjustment that shall be recognized in accordance with paragraph [848-40-25-7](#).

b. The designated hedging instrument to combine two or more derivative instruments, or proportions of those instruments, to be jointly designated as the hedging instrument in a hedge relationship. An entity may subsequently remove one or more derivative instruments, or proportions of those instruments, added in accordance with this paragraph.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-30-25-9 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Changes to the Proportion of a Hedged Item or a Hedging Instrument in a Fair Value Hedge and to the Hedging Instruments That Are Designated in a Fair Value Hedge or a Cash Flow Hedge**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-30-25-10

If an entity changes the designated hedging instrument in a fair value hedge to combine two or more derivative instruments, or proportions of those instruments, in accordance with paragraph [848-30-25-9\(b\)](#), the entity shall assess the hedge effectiveness of the amended hedging relationship using a method in accordance with Subtopics [815-20](#) and [815-25](#). An entity also may select a new method in accordance with Subtopics [815-20](#) and [815-25](#) to assess the hedge effectiveness.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

If an entity changes the designated hedging instrument in a fair value hedge to combine two or more derivative instruments, or proportions of those instruments, in accordance with paragraph [848-30-25-9\(b\)](#) and is applying a quantitative subsequent effectiveness assessment method at the time of the change, the entity shall assess the hedge effectiveness of the amended hedging relationship using a method in accordance with Subtopics [815-20](#) and [815-25](#). An entity also may elect a new method in accordance with Subtopics [815-20](#) and [815-25](#) to assess the hedge effectiveness. If an entity is applying the shortcut method in accordance with paragraphs [815-20-25-102 through 25-105](#), [815-20-25-107 through 25-109](#), and [815-20-25-111 through 25-117](#) at the time of the change, the entity may elect the optional expedient to assess hedge effectiveness in accordance with paragraph [848-40-25-8](#) or a new method in accordance with Subtopics [815-20](#) and [815-25](#). An entity applying the optional expedient method to continue the shortcut method in accordance with paragraph [848-40-25-8](#) may disregard any condition in paragraphs [815-20-25-102 through 25-105](#), [815-20-25-107 through 25-109](#), and [815-20-25-111 through 25-117](#) that prohibits more than one derivative from being designated as a hedging instrument in a fair value hedge.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)**848-30-25-11**

If an entity changes the designated hedging instrument in a cash flow hedge to combine two or more derivative instruments, or proportions of those instruments, in accordance with paragraph [848-30-25-9\(b\)](#), the entity shall assess the hedge effectiveness of the amended hedging relationship using any of the following:

- a. A method in accordance with Subtopics [815-20](#) and [815-30](#)
- b. An optional expedient for the subsequent assessment methods for assuming perfect effectiveness in accordance with paragraphs [848-50-35-4 through 35-9](#)
- c. An optional expedient for the subsequent qualitative method after an initial assessment using a quantitative method in accordance with paragraphs [848-50-35-10 through 35-16](#)
- d. An optional expedient for the subsequent quantitative methods in accordance with paragraphs [848-50-35-17 through 35-18](#).

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

If an entity changes the hedging instrument that meets the scope of paragraph [848-10-15-3](#) that is designated in a cash flow hedge to combine two or more derivative instruments, or proportions of those instruments, in accordance with paragraph [848-30-25-9\(b\)](#), the entity shall assess the hedge effectiveness of the amended hedging relationship using any of the following:

- a. A method in accordance with Subtopics [815-20](#) and [815-30](#)
- b. An optional expedient for the subsequent assessment methods for assuming perfect effectiveness in accordance with paragraphs [848-50-35-4 through 35-9](#)
- c. An optional expedient for the subsequent qualitative method after an initial assessment using a quantitative method in accordance with paragraphs [848-50-35-10 through 35-16](#)
- d. An optional expedient for the subsequent quantitative methods in accordance with paragraphs [848-50-35-17 through 35-18](#).

An entity applying an optional expedient method in (b) may disregard any condition in Subtopic [815-20](#) or [815-30](#) that prohibits more than one derivative from being designated as a hedging instrument in a cash flow hedge.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)**848-30-25-11A** PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

For a cash flow hedge with a designated hedging instrument that meets the scope of paragraph [848-10-15-3A](#) to which an entity is applying the relief in this Subtopic to continue hedge accounting without dedesignation, the entity shall assess the hedge effectiveness of the amended hedging relationship as follows:

- a. An entity applying a subsequent quantitative or qualitative assessment method in accordance with Subtopics [815-20](#) and [815-30](#) at the time of the election shall continue to use the same method after the election.
- b. An entity applying a subsequent assessment method that assumes perfect effectiveness at the time of the election may apply the corresponding optional expedient for the subsequent assessment method for assuming perfect effectiveness in accordance with paragraphs [848-50-35-4 through 35-9](#) or a quantitative method in accordance with Subtopics [815-20](#) and [815-30](#) after the election.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
[Paragraph superseded by Accounting Standards Update No. 2021-01.](#)

· > Optional Expedient: Adjustment to a Fair Value Hedge Basis Adjustment for a Fair Value Hedge Accounted for under the Shortcut Method and Affected by a Cash Settlement (or Equivalent) Related to the Change in Interest Rate Used for Margining, Discounting, or Contract Price Alignment

848-30-25-11B

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

For a fair value hedge in which the hedging instrument is a derivative that meets the scope of either paragraph [848-10-15-3](#) or paragraph [848-10-15-3A](#) that is affected by a payment or receipt of a cash settlement (or equivalent) intended to compensate for a modification of the interest rate used for margining, discounting, or contract price alignment for the derivative instrument related to reference rate reform and the shortcut method is applied in accordance with paragraphs [815-20-25-102 through 25-105](#), [815-20-25-107 through 25-109](#), and [815-20-25-111 through 25-117](#), an entity may adjust the fair value hedge basis adjustment for the amount of cash compensation (or equivalent) exchanged using a reasonable approach. This Subtopic does not specify a single method for applying a reasonable approach. Ordinarily, an entity shall use a similar method for similar hedges. The entity shall justify the use of different methods for similar hedges. An entity applying the guidance in this paragraph may elect the optional expedient to continue to use the shortcut method to assess hedge effectiveness in accordance with paragraph [848-40-25-8](#) or a new method in accordance with Subtopics [815-20](#) and [815-25](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

Editor's Note: Paragraph 848-30-25-11B will be superseded upon transition, together with its heading:

> > **Optional Expedient: Adjustment to a Fair Value Hedge Basis Adjustment for a Fair Value Hedge Accounted for under the Shortcut Method and Affected by a Cash Settlement (or Equivalent) Related to the Change in Interest Rate Used for Margining, Discounting, or Contract Price Alignment**

[Paragraph superseded by Accounting Standards Update No. 2021-01.](#)

· > Optional Expedient: Adjustment to Accumulated Other Comprehensive Income for a Cash Flow Hedge Affected by a Cash Settlement (or Equivalent) Related to the Change in Interest Rate Used for Margining, Discounting, or Contract Price Alignment

848-30-25-11C

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

For a cash flow hedge in which the hedging instrument is a derivative that meets the scope of either paragraph [848-10-15-3](#) or paragraph [848-10-15-3A](#) that is affected by a payment or receipt of a cash settlement (or equivalent) intended to compensate for a modification of the interest rate used for margining, discounting, or contract price alignment for the derivative instrument related to reference rate reform, an entity may adjust the amount recorded in accumulated other comprehensive income for the amount of cash compensation (or equivalent) exchanged using a reasonable approach. This Subtopic does not specify a single method for applying a reasonable approach. Ordinarily, an entity shall use a similar method for similar hedges. The entity shall justify the use of different methods for similar hedges. If an entity elects the optional expedient in this paragraph for a cash flow hedge with a designated hedging instrument that meets the scope of paragraph [848-10-15-3A](#), the entity shall assess hedge effectiveness in accordance with paragraph [848-30-25-11A\(a\) through \(b\)](#). If an entity elects the optional expedient in this paragraph for a cash flow hedge with a designated hedging instrument that meets the scope of paragraph [848-10-15-3](#), the entity shall assess hedge effectiveness in accordance with paragraph [848-30-25-11\(a\) through \(d\)](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

Editor's Note: Paragraph 848-30-25-11C will be superseded upon transition, together with its heading:

> > **Optional Expedient: Adjustment to Accumulated Other Comprehensive Income for a Cash Flow Hedge Affected by a Cash Settlement (or Equivalent) Related to the Change in Interest Rate Used for Margining, Discounting, or Contract Price Alignment**

[Paragraph superseded by Accounting Standards Update No. 2021-01.](#)

· > **Optional Expedient: Changes to the Systematic and Rational Method Used for Recognizing in Earnings the Excluded Components in a Fair Value Hedge, a Cash Flow Hedge, or a Net Investment Hedge**

848-30-25-12 If the changes to a hedging instrument's contractual terms meet the scope of paragraphs [848-20-15-2 through 15-3](#), an entity may elect to change its systematic and rational method used to recognize in earnings the components excluded from the assessment of effectiveness in accordance with paragraph [815-20-25-83A](#). An entity shall apply the amended systematic and rational method prospectively and shall retain the amended systematic and rational method for the remaining life of the hedging relationship, including for periods after the date in paragraph [848-10-65-1\(a\)\(3\)\(iii\)](#). The amended systematic and rational method may be subsequently amended for subsequent changes to a hedging instrument's contractual terms that meet the scope of paragraphs [848-20-15-2 through 15-3](#). If an entity does not apply this optional expedient, the entity's systematic and rational method documented at hedge inception may require an adjustment at the end of the hedging relationship so that no excluded components remain in accumulated other comprehensive income at the end of the hedging relationship.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-30-25-12 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Changes to the Systematic and Rational Method Used for Recognizing in Earnings the Excluded Components in a Fair Value Hedge, a Cash Flow Hedge, or a Net Investment Hedge**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-30-25-13

In addition, if the changes to a hedging instrument's contractual terms meet the scope of paragraphs [848-20-15-2 through 15-3](#) and any change in those contractual terms causes a change in the fair value of the excluded component, an entity may elect to recognize the change in fair value of the excluded component in current earnings. An entity shall present the recognition of the adjustment in the same income statement line item that is used to present the earnings effect of the hedged item.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848 Reference Rate Reform

40 Fair Value Hedges

00 Status

 **General Note:**The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

848-40-00-1

The following table identifies the changes made to this Subtopic.

Paragraph	Action	Accounting Standards Update	Date
848-40-05-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-40-05-1	Added	Accounting Standards Update No. 2020-04	03/12/2020

848-40-15-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-40-15-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-40-25-1 through 25-9	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
848-40-25-1 through 25-9	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-40-25-2	Amended	Accounting Standards Update No. 2021-01	01/07/2021
848-40-25-8	Amended	Accounting Standards Update No. 2022-06	12/21/2022
848-40-25-8	Amended	Accounting Standards Update No. 2021-01	01/07/2021

05 Overview and Background

General Note:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

848-40-05-1 This Subtopic provides guidance on optional expedients for the accounting for and financial reporting of fair value hedges under Topic [815](#) that are affected by reference rate reform.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

15 Scope and Scope Exceptions

General Note:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some

cases, the Section may contain definitional or other text to frame the scope.

General

848-40-15-1 The guidance in this Subtopic provides optional expedients for certain requirements of Subtopics [815-20](#) and [815-25](#) related to fair value hedges. An entity shall continue to apply all other requirements applicable to fair value hedges in Subtopics [815-20](#) and [815-25](#).

 PENDING CONTENT ?

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04](#).

25 Recognition

i **General Note:**The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Option to Apply Expedients

848-40-25-1 An entity may elect to apply the guidance in this Subtopic for fair value hedges affected by reference rate reform on an individual hedging relationship basis. In addition, an entity may elect to apply the different optional expedients specified in paragraphs [848-40-25-2 through 25-9](#) on an individual hedging relationship basis. For example, an entity may elect to apply the optional expedient in this Subtopic for the change in the designated benchmark interest rate and not elect to apply the optional expedient for the shortcut method for assessing hedge effectiveness. An entity may disregard the guidance in paragraph [815-20-25-81](#) when applying the guidance in this Subtopic and shall not be required to assess effectiveness for similar hedges in a similar manner.

 PENDING CONTENT ?

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-40-25-1 will be superseded upon transition, together with its heading:

> Option to Apply Expedients

[Paragraph superseded by Accounting Standards Update No. 2020-04](#).

> Optional Expedient: Change in the Designated Benchmark Interest Rate

848-40-25-2

If the hedged item is a financial asset or liability, a recognized loan servicing right, or a nonfinancial firm commitment with financial components, the designated risk being hedged may be the risk of changes in the hedged item's fair value attributable to changes in the designated benchmark interest rate in accordance with paragraph [815-20-25-12\(f\)\(2\)](#). In a hedge of the changes in fair value attributable to the benchmark interest rate, if the referenced interest rate index of the hedging instrument changes or an entity changes the designated hedging instrument to combine two or more derivative instruments to be jointly designated as the hedging instrument in accordance with paragraph [848-30-25-9\(b\)](#) (for example, adding a new interest rate basis swap to an existing interest rate swap), an entity may change the designated benchmark interest rate and the component of cash flows and continue to apply hedge accounting without dedesignation if all of the following criteria are met:

- a. The designated benchmark interest rate being changed is a rate within the scope of paragraph [848-10-15-3](#).
- b. The replacement designated benchmark interest rate is an eligible benchmark interest rate in accordance with paragraph [815-20-25-6A](#).
- c. The hedging instrument is expected to be prospectively highly effective at achieving offsetting changes in fair value attributable to the revised hedged risk on the basis of the amended terms of the hedging relationship.

 PENDING CONTENT**Transition Date:** P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

If the hedged item is a financial asset or liability, a recognized loan servicing right, or a nonfinancial firm commitment with financial components, the designated risk being hedged may be the risk of changes in the hedged item's fair value attributable to changes in the designated benchmark interest rate in accordance with paragraph [815-20-25-12\(f\)\(2\)](#). In a hedge of the changes in fair value attributable to the benchmark interest rate if the hedging instrument meets the scope of paragraph [848-10-15-3](#), an entity may change the designated benchmark interest rate and the component of cash flows and continue to apply hedge accounting without dedesignation if either the referenced interest rate index of the hedging instrument changes or an entity changes the designated hedging instrument to combine two or more derivative instruments to be jointly designated as the hedging instrument in accordance with paragraph [848-30-25-9\(b\)](#) (for example, adding a new interest rate basis swap to an existing interest rate swap). If the hedging instrument meets the scope of paragraph [848-10-15-3A](#), an entity may change the designated benchmark interest rate and the component of cash flows and continue to apply hedge accounting without dedesignation when the interest rate used for margining, discounting, or contract price alignment is modified. All of the following criteria must be met if an entity changes the designated benchmark interest rate and the component of cash flows:

- a. The designated benchmark interest rate being changed is a rate within the scope of paragraph [848-10-15-3](#) or a rate used for margining, discounting, or contract price alignment for derivative instruments that meet the scope of paragraph [848-10-15-3A](#).
- b. The replacement designated benchmark interest rate is an eligible benchmark interest rate in accordance with paragraph [815-20-25-6A](#).
- c. The hedging instrument is expected to be prospectively highly effective at achieving offsetting changes in fair value attributable to the revised hedged risk on the basis of the amended terms of the hedging relationship.

 PENDING CONTENT**Transition Date:** P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-40-25-2 will be superseded upon transition, together with its heading:

> **Optional Expedient: Change in the Designated Benchmark Interest Rate**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-40-25-3

An entity shall update its hedge documentation in accordance with paragraph [848-30-25-4](#) upon a change in the designated benchmark interest rate in accordance with paragraph [848-40-25-2](#).

 PENDING CONTENT**Transition Date:** P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > Change in Fair Value of Hedged Item Due to a Change in the Designated Benchmark Interest Rate

848-40-25-4 If an entity elects the optional expedient in paragraphs 848-40-25-2 through 25-3 to change the designated benchmark interest rate, it shall, at a minimum, revise the rate used to discount the cash flows associated with the hedged item reflecting the change in the designated benchmark interest rate in accordance with paragraph 848-40-25-2. An entity may include a spread adjustment to the revised benchmark interest rate used to discount the cash flows associated with the hedged item in accordance with an approach in paragraph 848-40-25-5. In addition, an entity may adjust the cash flows for the designated term of the designated hedged item.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-40-25-4 will be superseded upon transition, together with its heading:

> > Change in Fair Value of Hedged Item Due to a Change in the Designated Benchmark Interest Rate

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-40-25-5 At the time of the change to the designated benchmark interest rate, an entity may either:

- a. Apply an approach that adjusts the hedged item's cumulative fair value hedge basis adjustment attributable to changing from the originally designated benchmark interest rate to the replacement designated benchmark interest rate
- b. Apply an approach that results in no adjustment to the hedged item's cumulative basis adjustment (that is, maintain the hedged item's cumulative basis adjustment immediately before the date of the change).

This Subtopic does not specify a single method for applying those approaches. The method an entity uses shall be reasonable, and an entity shall use a similar method for similar hedges and shall justify the use of different methods for similar hedges.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-40-25-6 In calculating the subsequent changes in the hedged item's fair value attributable to changes in the replacement benchmark interest rate, an entity shall use the revised benchmark interest rate to discount the cash flows associated with the hedged item and shall use the remaining revised cash flows for the designated term of the designated hedged item. The revised benchmark interest rate (including the spread adjustment to the revised benchmark interest rate if applicable) to discount the cash flows associated with the hedged item and the remaining revised cash flows for the designated term shall be retained for periods after the date in paragraph 848-10-65-1(a)(3)(iii).

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-40-25-7 If an entity adjusts the cumulative basis adjustment because of the change in the designated benchmark interest rate in accordance with paragraph 848-40-25-5(a), the entity shall recognize the adjustment currently in earnings. An entity shall present the adjustment in the same income statement line item that is used to present the earnings effect of the hedged item.

 PENDING CONTENT


Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

> Optional Expedient: Assessment of Hedge Effectiveness When Assuming Perfect Hedge Effectiveness in a Hedge with an Interest Rate Swap (Shortcut Method)

848-40-25-8

For fair value hedges for which the shortcut method is applied in accordance with paragraphs [815-20-25-102 through 25-109](#) and [815-20-25-111 through 25-117](#), the following conditions from paragraph [815-20-25-104](#) that apply to fair value hedges may be disregarded in determining whether the hedging relationship continues to qualify for the shortcut method upon a change in the contractual terms of the hedging instrument in accordance with paragraphs [848-30-25-5 through 25-7](#):

- a. The formula for computing net settlements under the interest rate swap is the same for each net settlement in accordance with paragraph [815-20-25-104\(d\)](#).
- b. The terms are typical of those instruments, and the terms do not invalidate the assumption of perfect effectiveness in accordance with paragraph [815-20-25-104\(g\)](#).

If an entity elects the practical expedient in this paragraph for a fair value hedge for which the shortcut method is applied, the entity is not required to periodically evaluate the conditions in paragraph [815-20-25-104\(d\) and \(g\)](#) for the remaining life of the hedging relationship, including for periods after December 31, 2022 (see paragraph [848-10-65-1\(a\)\(3\)\(iii\)](#)).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
For fair value hedges for which the shortcut method is applied in accordance with paragraphs [815-20-25-102 through 25-105](#), [815-20-25-107 through 25-109](#), and [815-20-25-111 through 25-117](#), the following conditions from paragraph [815-20-25-104](#) that apply to fair value hedges may be disregarded in determining whether the hedging relationship continues to qualify for the shortcut method upon a change in the contractual terms of the hedging instrument in accordance with paragraphs [848-30-25-5 through 25-7](#):

- a. The formula for computing net settlements under the interest rate swap is the same for each net settlement in accordance with paragraph [815-20-25-104\(d\)](#).
- b. The terms are typical of those instruments, and the terms do not invalidate the assumption of perfect effectiveness in accordance with paragraph [815-20-25-104\(g\)](#).

If an entity elects the practical expedient in this paragraph for a fair value hedge for which the shortcut method is applied, the entity is not required to periodically evaluate the conditions in paragraph [815-20-25-104\(d\) and \(g\)](#) for the remaining life of the hedging relationship, including for periods after December 31, 2024 (see paragraph [848-10-65-1\(a\)\(3\)\(iii\)](#)). However, if the hedging instrument meets the scope of paragraph [848-10-15-3](#) and an entity elects the practical expedient in accordance with paragraph [848-30-25-10](#) to combine two or more derivative instruments, or proportions of those instruments, as the hedging instrument, the entity is not permitted to continue to apply the shortcut method after December 31, 2024. In that case, if the hedging relationship continues after the entity is required to cease applying the optional expedient method because of the condition in paragraph [848-10-65-2\(a\)\(3\)\(iii\)\(02\)](#) or because the entity elects to cease applying the optional expedient, the entity shall revert to applying the qualifying criteria and hedge assessment methods in Subtopics [815-20](#) and [815-25](#) to assess whether hedge accounting may continue for subsequent reporting periods. In that case, the change in the method of assessing hedge effectiveness upon discontinuing the application of the optional expedient method is not a change that results in dedesignation of the hedging relationship. An entity shall update its hedge documentation to reflect the change in the method of assessing hedge effectiveness in accordance with paragraph [848-30-25-4](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-40-25-8 will be superseded upon transition, together with its heading:

> **Optional Expedient: Assessment of Hedge Effectiveness When Assuming Perfect Hedge Effectiveness in a Hedge with an Interest Rate Swap (Shortcut Method)**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-40-25-9 If an entity elects to apply the optional expedient for the shortcut method in paragraph [848-40-25-8](#), the entity shall update its hedge documentation in accordance with paragraph [848-30-25-4](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | Transition Guidance: [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

848 Reference Rate Reform

50 Cash Flow Hedges

00 Status

General Note: The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

General

848-50-00-1	The following table identifies the changes made to this Subtopic.			
	Paragraph	Action	Accounting Standards Update	Date
	848-50-05-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	848-50-05-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-50-15-1	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	848-50-15-1	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-50-25-1 through 25-14	Superseded	Accounting Standards Update No. 2020-04	03/12/2020
	848-50-25-1 through 25-14	Added	Accounting Standards Update No. 2020-04	03/12/2020
	848-50-25-3	Amended	Accounting Standards Update No. 2021-01	01/07/2021
	848-50-35-1	Amended	Accounting Standards Update No. 2021-01	01/07/2021
	848-50-35-1 through 35-24	Superseded	Accounting Standards Update No. 2020-04	03/12/2020

848-50-35-1 through 35-24	Added	Accounting Standards Update No. 2020-04	03/12/2020
848-50-35-19	Amended	Accounting Standards Update No. 2021-01	01/07/2021
848-50-35-19A	Superseded	Accounting Standards Update No. 2021-01	01/07/2021
848-50-35-19A	Added	Accounting Standards Update No. 2021-01	01/07/2021
848-50-35-20	Amended	Accounting Standards Update No. 2021-01	01/07/2021
848-50-35-24	Amended	Accounting Standards Update No. 2021-01	01/07/2021

05 Overview and Background

General Note: The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

General

848-50-05-1 This Subtopic provides guidance related to optional expedients for the accounting for and financial reporting of cash flow hedges under Topic [815](#) on derivatives and hedging that are affected by reference rate reform.

 PENDING CONTENT 

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

15 Scope and Scope Exceptions

General Note: The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

General

848-50-15-1 The guidance in this Subtopic provides optional expedients for certain requirements of Subtopics [815-20](#) and [815-30](#) related to the assessment of hedge effectiveness and the designation of cash flow hedges. An entity shall continue to apply all other cash flow hedge accounting requirements specified in Subtopics [815-20](#) and [815-30](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

25 Recognition

General Note: The Recognition Section provides guidance on the required criteria, timing, and location (within the financial statements) for recording a particular item in the financial statements. Disclosure is not recognition.

General

> Option to Apply Expedients

848-50-25-1 An entity may elect to apply the optional expedients for the assessment of hedge effectiveness in this Subtopic to cash flow hedges affected by reference rate reform on an individual hedging relationship basis. In addition, an entity may elect to apply the different optional expedients for the assessment of hedge effectiveness in this Subtopic on an individual hedging relationship basis. An entity may disregard the guidance in paragraph [815-20-25-81](#) when applying the guidance in this Subtopic and shall not be required to assess effectiveness for similar hedges in a similar manner.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-25-1 will be superseded upon transition, together with its heading:

> **Option to Apply Expedients**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

> Eligibility of Cash Flow Hedges Affected by Reference Rate Reform

· > Probability of the Hedged Forecasted Transaction

848-50-25-2 An entity shall continue to assess whether the underlying hedged forecasted transaction (for example, the future interest receipts of a financial asset or future interest payments of a financial liability or the forecasted issuance or purchase of a debt instrument) remains probable in accordance with paragraph [815-20-25-15\(b\)](#). If the designated hedged interest rate risk in a cash flow hedge of a forecasted transaction is a reference rate that meets the scope of paragraph [848-10-15-3](#), an entity may assert that the hedged forecasted transaction (for example, the future interest receipts of a financial asset or future interest payments of a financial liability or the forecasted issuance or purchase of a debt instrument) remains probable in accordance with paragraph [815-20-25-15\(b\)](#) regardless of the modification or expected modification of terms in accordance with paragraphs [848-20-15-2 through 15-3](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-25-2 will be superseded upon transition, together with its headings:

> **Eligibility of Cash Flow Hedges Affected by Reference Rate Reform**

> > **Probability of the Hedged Forecasted Transaction**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > Change in the Designated Hedged Interest Rate Risk

848-50-25-3 Paragraph [815-30-35-37A](#) specifies that the designated hedged risk for a cash flow hedge of a forecasted transaction may change during a hedging relationship and an entity may continue to apply hedge accounting if the hedge remains highly effective. For purposes of applying that guidance to a cash flow hedge affected by reference rate reform, a cash flow hedge may continue hedge accounting subject to either the hedging relationship remaining highly effective in accordance with Subtopics [815-20](#) and [815-30](#) or an entity electing an optional expedient method to subsequently assess hedge effectiveness in accordance with paragraphs [848-50-35-1 through 35-18](#). If an entity elects to change the designated hedged interest rate risk for a cash flow hedge, the entity shall update its hedge documentation in accordance with paragraph [848-30-25-4](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

Paragraph [815-30-35-37A](#) specifies that the designated hedged risk for a cash flow hedge of a forecasted transaction may change during a hedging relationship and an entity may continue to apply hedge accounting if the hedge remains highly effective. For purposes of applying that guidance to a cash flow hedge of the variability in expected future cash flows associated with either an existing variable-rate asset or liability or a forecasted issuance or purchase of a variable-rate debt instrument affected by reference rate reform in accordance with paragraph [848-10-15-3](#), a cash flow hedge may continue hedge accounting subject to either the hedging relationship remaining highly effective in accordance with Subtopics [815-20](#) and [815-30](#) or an entity electing an optional expedient method to subsequently assess hedge effectiveness in accordance with paragraphs [848-50-35-1 through 35-18](#). An entity also may apply the guidance in paragraph [815-30-35-37A](#) to a cash flow hedge of a forecasted issuance or purchase of a fixed-rate debt instrument in which the designated hedged risk is the variability in cash flows attributable to changes in the benchmark interest rate in accordance with paragraph [815-20-25-19A\(a\)](#) or paragraph [815-20-25-19B](#) and the hedging instrument is affected by reference rate reform in accordance with paragraph [848-10-15-3](#). In that case, if the referenced interest rate index of the hedging instrument changes or an entity changes the designated hedging instrument to combine two or more derivatives to be jointly designated as the hedging instrument in accordance with paragraph [848-30-25-9\(b\)](#), an entity may change the designated benchmark interest rate if it is a rate within the scope of paragraph [848-10-15-3](#) and the replacement designated benchmark interest rate is an eligible benchmark rate in accordance with paragraph [815-20-25-6A](#), subject to the hedging relationship remaining highly effective in accordance with Subtopics [815-20](#) and [815-30](#). If an entity elects to change the designated hedged interest rate risk for a cash flow hedge, the entity shall update its hedge documentation in accordance with paragraph [848-30-25-4](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-25-3 will be superseded upon transition, together with its heading:

> > **Change in the Designated Hedged Interest Rate Risk**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

> Initial Assessment of Hedge Effectiveness

· > Optional Expedients for Initial Assessment of Hedge Effectiveness

848-50-25-4 An entity may perform its initial hedge effectiveness assessment in a manner that adjusts how it applies certain guidance in Subtopics [815-20](#) and [815-30](#) as specified in paragraph [848-50-25-5](#) for cash flow hedges for which either the hedged forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#). For subsequent hedge effectiveness assessments, an entity may use the eligible optional expedients for hedge effectiveness assessment in paragraphs [848-50-35-1 through 35-18](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-25-4 will be superseded upon transition, together with its headings:

> **Initial Assessment of Hedge Effectiveness**

> > **Optional Expedients for Initial Assessment of Hedge Effectiveness**

Paragraph superseded by Accounting Standards Update No. 2020-04.

848-50-25-5

In accordance with paragraph [815-20-25-3\(b\)\(2\)\(iv\)\(01\)](#), an entity shall perform an initial prospective assessment of hedge effectiveness on a quantitative basis unless one of the methods listed in paragraph [815-20-25-3\(b\)\(2\)\(iv\)\(01\)](#) applies. Paragraphs [848-50-25-6 through 25-12](#) describe certain modifications to the relevant methods for performing an initial assessment of hedge effectiveness for cash flow hedges within the scope of this Subtopic.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Paragraph superseded by Accounting Standards Update No. 2020-04.

848-50-25-6

An entity may disregard the following conditions in determining whether it may apply the shortcut method for assuming perfect hedge effectiveness in a cash flow hedge with an interest rate swap in accordance with paragraphs [815-20-25-102 through 25-109](#) and [815-20-25-111 through 25-117](#):

- a. The formula for computing net settlements under the interest rate swap is the same for each net settlement in accordance with paragraph [815-20-25-104\(d\)](#).
- b. The terms are typical of those derivative instruments and do not invalidate the assumption of perfect effectiveness in accordance with paragraph [815-20-25-104\(g\)](#).
- c. The repricing dates of the variable-rate asset or variable-rate liability and the hedging instrument must occur on the same dates and be calculated the same way in accordance with paragraph [815-20-25-106\(d\)](#).
- d. The index on which the variable leg of the interest rate swap is based matches the contractually specified interest rate designated as the interest rate being hedged for that hedging relationship in accordance with paragraph [815-20-25-106\(g\)](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Paragraph superseded by Accounting Standards Update No. 2020-04.

848-50-25-7

For cash flow hedges when an option's terminal value is used to assess hedge effectiveness, an entity may disregard the following conditions in determining whether a cash flow hedge of the option's terminal value may be considered perfectly effective in accordance with paragraphs [815-20-25-126 through 25-129A](#):

- a. The underlying of the hedging instrument needs to match the underlying of the hedged forecasted transaction in accordance with paragraph [815-20-25-129\(a\)](#).

- b. The strike price (or prices) of the hedging option (or combination of options) matches the specified level (or levels) beyond (or within) which the entity's exposure is being hedged in accordance with paragraph [815-20-25-129\(b\)](#).
- c. The hedging instrument's inflows (outflows) at its maturity date due to the underlying reference rate and strike price (or prices) of the hedging option (or combination of options) completely offset the change in the hedged transaction's cash flows for the risk being hedged in accordance with paragraph [815-20-25-129\(c\)](#).

If all other conditions in paragraph [815-20-25-129](#) are met, the hedging relationship may be considered perfectly effective.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-25-8

An eligible private company in accordance with paragraph [815-20-25-135](#) may disregard the following conditions in determining whether a cash flow hedge of a variable-rate borrowing with a receive-variable pay-fixed interest rate swap using the simplified hedge accounting approach may be considered perfectly effective in accordance with paragraphs [815-20-25-133 through 25-138](#):

- a. Both the variable rate on the swap and the borrowing are based on the same index and reset period in accordance with paragraph [815-20-25-137\(a\)](#).
- b. The terms of the swap are typical in accordance with paragraph [815-20-25-137\(b\)](#).
- c. The repricing and settlement dates for the swap and the borrowing match in accordance with paragraph [815-20-25-137\(c\)](#).

If all other conditions of paragraph [815-20-25-137](#) are met, the hedging relationship may apply the simplified hedge accounting approach.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-25-9

For the change-in-variable-cash-flows method in accordance with paragraphs [815-30-35-16 through 35-24](#), an entity may disregard the following conditions in assessing whether the method will result in a perfectly effective hedge in accordance with paragraph [815-30-35-22](#):

- a. The variable-rate leg of the interest rate swap and the hedged variable cash flows of the asset or liability are based on the same interest rate index in accordance with paragraph [815-30-35-22\(a\)](#).
- b. The interest rate reset dates applicable to the variable-rate leg of the interest rate swap and to the hedged variable cash flows of the asset or liability are the same in accordance with paragraph [815-30-35-22\(b\)](#).

In addition, an entity may disregard the condition in paragraph [815-30-35-22\(c\)](#) if the basis differences are due to differences in a cap or floor between the variable-rate leg of the interest rate swap and the variable-rate asset or the variable-rate liability. If all other conditions in paragraph [815-30-35-22](#) are met, the hedging relationship may be considered perfectly effective. If all other conditions in paragraph [815-30-35-22](#) are not met, an entity shall not consider that the method will result in a perfectly effective hedge.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-25-10

For the hypothetical derivative method in accordance with paragraphs [815-30-35-25 through 35-29](#), an entity may disregard the following critical terms in assessing whether the method will result in a perfectly effective hedge:

- a. The same repricing dates in accordance with paragraph [815-30-35-25\(b\)\(2\)](#)
- b. The same index in accordance with paragraph [815-30-35-25\(b\)\(3\)](#)
- c. Mirror image caps and floors (including a cap or floor that exists in a variable-rate asset or a variable-rate liability and does not exist in a hedging instrument or vice versa) in accordance with paragraph [815-30-35-25\(b\)\(4\)](#).

If all other conditions in paragraph [815-30-35-25](#) are met, the hedging relationship may be considered perfectly effective. If all other conditions in paragraph [815-30-35-25](#) are not met, an entity shall not consider that the method will result in a perfectly effective hedge.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· · > Optional Expedient: Initial Assessment Performed Using a Quantitative Method

848-50-25-11

An entity may adjust any of the three methods of assessing hedge effectiveness in paragraphs [815-30-35-10 through 35-32](#) when hedge effectiveness is assessed on a quantitative basis (using either a dollar-offset test or a statistical method such as regression analysis) as follows:

- a. If both the hedged forecasted transaction and the hedging instrument have a reference rate that meets the scope of paragraph [848-10-15-3](#) (or in a cash flow hedge of a forecasted purchase, sale, or issuance of a fixed-rate instrument in which the designated hedged interest rate risk is the benchmark interest rate if only the hedging instrument has a reference rate that meets the scope of paragraph [848-10-15-3](#)), an entity may assume that the reference rate will not be replaced for the remainder of the hedging relationship. That is, the entity does not need to consider the likelihood of whether or when the reference rate will be discontinued or changed because of reference rate reform.
- b. If either the hedged forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#), the terms of the hedged forecasted transaction may be altered to match the hedging instrument for the following:
 1. The referenced interest rate index
 2. The reset period, reset dates, day-count conventions, business-day conventions, and repricing calculation (for example, forward-looking calculation or in-arrears calculation)
 3. A spread adjustment for the difference between the existing reference rate and the replacement reference rate
 4. A cap or floor (including a cap or floor that exists in a variable-rate asset or a variable-rate liability and does not exist in a hedging instrument or vice versa).

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-25-11 will be superseded upon transition, together with its heading:

> > > Optional Expedient: Initial Assessment Performed Using a Quantitative Method

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· · > Optional Expedient: Initial Assessment Based on an Option's Terminal Value

848-50-25-12 If an entity assesses hedge effectiveness on the basis of an option's terminal value in accordance with paragraph [815-20-25-126](#) and if either the hedged forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#), an entity may adjust the critical terms of the perfectly effective hypothetical hedging instrument in accordance with paragraph [815-20-25-129](#) to match the hedging instrument for the following:

- a. The underlying reference rate
- b. The strike price (or prices) of the hedging option (or combination of options)
- c. The hedging instrument's inflows (outflows) at its maturity date due to the underlying reference rate and strike price (or prices) of the hedging option (or combination of options).

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-25-12 will be superseded upon transition, together with its heading:

> > > Optional Expedient: Initial Assessment Based on an Option's Terminal Value

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > Hedging a Group of Forecasted Transactions

848-50-25-13 This paragraph provides an optional expedient for assessing a group of individual forecasted transactions in a cash flow hedge affected by reference rate reform. An entity may elect this optional expedient if a forecasted transaction in the hedged group of forecasted transactions references a rate that meets the scope of paragraph [848-10-15-3](#).

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-25-13 will be superseded upon transition, together with its heading:

> > Hedging a Group of Forecasted Transactions

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-25-14 An entity may disregard the guidance in paragraph [815-20-25-15\(a\)\(2\)](#) that states that a group of individual transactions shall share the same risk exposure for which they are designated as being hedged. However, other limitations in paragraph [815-20-25-15\(a\)\(2\)](#) shall continue such that a forecasted purchase (including debt issuance) and a forecasted sale shall not both be included in the same group of individual transactions that constitute the hedged transaction.

 PENDING CONTENT

Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

35 Subsequent Measurement

 **General Note:** The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

General

> Subsequent Assessment of Hedge Effectiveness

848-50-35-1 This guidance provides optional expedients that may be elected for cash flow hedges affected by reference rate reform for the purposes of determining whether an entity shall be allowed to continue applying hedge accounting for the hedging relationship. An entity may elect these optional expedient methods if either the forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

This guidance provides optional expedients that may be elected for cash flow hedges affected by reference rate reform for the purposes of determining whether an entity shall be allowed to continue applying hedge accounting for the hedging relationship. An entity may elect these optional expedient methods if either the forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#). An entity may elect certain optional expedient methods if the hedging instrument meets the scope of paragraph [848-10-15-3A](#) (see paragraph [848-10-55-1](#)).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-35-1 will be superseded upon transition, together with its heading:

> **Subsequent Assessment of Hedge Effectiveness**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-2

If an entity elects to apply an optional expedient method in this Subtopic for a cash flow hedging relationship, the entity need only apply the optional expedient method prospectively beginning on the date that the expedient method is first applied in determining whether the entity can continue to apply hedge accounting to that hedging relationship. After the date on which the optional expedient method is first applied (if the hedging relationship continues), the entity shall assess the hedging relationship using the optional expedient method both prospectively and retrospectively from the date on which the expedient method is first applied.

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-3

If an entity elects to change the method of assessing hedge effectiveness for a cash flow hedge to an optional expedient method in accordance with paragraphs [848-50-35-4 through 35-18](#), the entity shall update its hedge documentation in accordance with paragraph [848-30-25-4](#).

 PENDING CONTENT



Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

· > **Optional Expedient: Subsequent Assessments Using a Method That Assumes Perfect Effectiveness**

848-50-35-4

If an entity applies an initial assessment method in accordance with paragraph [815-20-25-3\(b\)\(2\)\(iv\) \(01\)](#) or an initial assessment method in accordance with paragraphs [848-50-25-6 through 25-10](#) for the assessment of initial hedge effectiveness, paragraphs [848-50-35-5 through 35-9](#) describe certain

modifications to the relevant methods for performing an ongoing assessment of hedge effectiveness for cash flow hedges.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-35-4 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Subsequent Assessments Using a Method That Assumes Perfect Effectiveness**

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-5

An entity may disregard the following conditions from paragraphs [815-20-25-104](#) and [815-20-25-106](#) that apply to cash flow hedges in determining whether the hedging relationship continues to qualify for the shortcut method upon a change in the contractual terms of the hedging instrument in accordance with paragraphs [848-30-25-5 through 25-7](#):

- a. The formula for computing net settlements under the interest rate swap is the same for each net settlement in accordance with paragraph [815-20-25-104\(d\)](#).
- b. The terms are typical of those derivative instruments and do not invalidate the assumption of perfect effectiveness in accordance with paragraph [815-20-25-104\(g\)](#).
- c. The repricing dates of the variable-rate asset or variable-rate liability and the hedging instrument must occur on the same dates and be calculated the same way in accordance with paragraph [815-20-25-106\(d\)](#).
- d. The index on which the variable leg of the interest rate swap is based matches the contractually specified interest rate designated as the interest rate being hedged for that hedging relationship in accordance with paragraph [815-20-25-106\(g\)](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-6

For cash flow hedges when an option's terminal value is used in assessing hedge effectiveness, an entity may disregard the following conditions in determining whether a cash flow hedge of the option's terminal value may continue to be considered perfectly effective in accordance with paragraphs [815-20-25-126 through 25-129A](#):

- a. The underlying of the hedging instrument needs to match the underlying of the hedged forecasted transaction in accordance with paragraph [815-20-25-129\(a\)](#).
- b. The strike price (or prices) of the hedging option (or combination of options) matches the specified level (or levels) beyond (or within) which the entity's exposure is being hedged in accordance with paragraph [815-20-25-129\(b\)](#).
- c. The hedging instrument's inflows (outflows) at its maturity date due to the underlying reference rate and strike price (or prices) of the hedging option (or combination of options) completely offset the change in the hedged transaction's cash flows for the risk being hedged in accordance with paragraph [815-20-25-129\(c\)](#).

If all other conditions of paragraph [815-20-25-129](#) are met, the hedging relationship may continue to be considered perfectly effective.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-7

An eligible private company in accordance with paragraph [815-20-25-135](#) may disregard the following conditions in determining whether a cash flow hedge of a variable-rate borrowing with a receive-variable pay-fixed interest rate swap using the simplified hedge accounting approach may continue to be considered perfectly effective in accordance with paragraphs [815-20-25-133 through 25-138](#):

- a. Both the variable rate on the swap and the borrowing are based on the same index and reset period in accordance with paragraph [815-20-25-137\(a\)](#).
- b. The terms of the swap are typical in accordance with paragraph [815-20-25-137\(b\)](#).
- c. The repricing and settlement dates for the swap and the borrowing match in accordance with paragraph [815-20-25-137\(c\)](#).

If all other conditions of paragraph [815-20-25-137](#) continue to be met, the hedging relationship may continue to apply the simplified hedge accounting approach.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-8

For the change-in-variable-cash-flows method in accordance with paragraphs [815-30-35-16 through 35-23](#), an entity may disregard the following conditions in assessing whether the method will result in a perfectly effective hedge in accordance with paragraph [815-30-35-22](#):

- a. The variable-rate leg of the interest rate swap and the hedged variable cash flows of the asset or liability are based on the same interest rate index in accordance with paragraph [815-30-35-22\(a\)](#).
- b. The interest rate reset dates applicable to the variable-rate leg of the interest rate swap and to the hedged variable cash flows of the asset or liability are the same in accordance with paragraph [815-30-35-22\(b\)](#).

In addition, an entity may disregard the condition in paragraph [815-30-35-22\(c\)](#) if the basis differences are due to differences in a cap or floor between the variable-rate leg of the interest rate swap and the variable-rate asset or the variable-rate liability. If all other conditions of paragraph [815-30-35-22](#) continue to be met, the hedging relationship may continue to be considered perfectly effective. If all other conditions of paragraph [815-30-35-22](#) are not met, an entity shall not consider that the method will result in a perfectly effective hedge.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-9

For the hypothetical-derivative method in accordance with paragraphs [815-30-35-25 through 35-29](#), an entity may disregard the following critical terms in assessing whether the method will result in a perfectly effective hedge:

- a. The same repricing dates in accordance with paragraph 815-30-35-25(b)(2)
- b. The same index in accordance with paragraph 815-30-35-25(b)(3)
- c. Mirror image caps and floors (including a cap or floor that exists in a variable-rate asset or a variable-rate liability and does not exist in a hedging instrument or vice versa) in accordance with paragraph 815-30-35-25(b)(4).

If all other conditions of paragraph 815-30-35-25 continue to be met, the hedging relationship may continue to be considered perfectly effective. If all other conditions of paragraph 815-30-35-25 are not met, an entity shall not consider that the method will result in a perfectly effective hedge.

 PENDING CONTENT ?

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** 848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.

· > Optional Expedient: Subsequent Assessments Performed Using a Qualitative Method

- 848-50-35-10** An entity may qualitatively assess cash flow hedges on an ongoing basis in accordance with paragraphs 848-50-35-11 through 35-16 after the entity has performed an initial assessment of hedge effectiveness using any of the following:
- a. A method in accordance with Subtopics 815-20 and 815-30
 - b. An optional expedient method in accordance with paragraphs 848-50-25-6 through 25-12.

An entity that elects this optional expedient may disregard the guidance in paragraphs 815-20-35-2A through 35-2F for performing hedge effectiveness assessments on a qualitative basis.

 PENDING CONTENT ?

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** 848-10-65-1

Editor's Note: Paragraph 848-50-35-10 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Subsequent Assessments Performed Using a Qualitative Method**
Paragraph superseded by Accounting Standards Update No. 2020-04.

- 848-50-35-11** The following criteria shall be met so that an entity may continue to assert qualitatively that it may continue to apply hedge accounting for a hedging relationship under this Subtopic:
- a. The hedged forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph 848-10-15-3.
 - b. There have been no changes to the terms of the hedging instrument or the forecasted transaction other than those specified in paragraphs 848-20-15-2 through 15-3.
 - c. An entity shall consider the likelihood of the counterparty's compliance with the contractual terms of the hedging derivative that require the counterparty to make payments to the entity.

 PENDING CONTENT ?

Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** 848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.

848-50-35-12

An entity shall verify and document whenever financial statements or earnings are reported and at least every three months that the facts and circumstances evaluated in accordance with paragraph [848-50-35-11](#) have not changed; therefore, the entity can assert qualitatively that the hedging relationship did qualify and continues to qualify for this optional expedient method. No other facts and circumstances related to paragraphs [815-20-35-2A through 35-2F](#) need to be assessed as part of this evaluation.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-13

If the facts and circumstances change in accordance with paragraph [848-50-35-12](#) such that an entity no longer can assert qualitatively that the hedging relationship may continue to qualify for hedge accounting under this Subtopic, the entity shall assess hedge effectiveness on a quantitative basis using the guidance in Subtopics [815-20](#) and [815-30](#) or using a quantitative optional expedient method in this Subtopic to the extent that the quantitative optional expedient method is eligible to be used.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-14

If there is no identifiable event that led to the change in the facts and circumstances of the hedging relationship, the entity may begin performing quantitative assessments of effectiveness from the beginning of the current period. An entity may change its method of assessing hedge effectiveness and update its hedging documentation to reflect that change in accordance with paragraph [848-30-25-4](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-15

After assessing the hedge effectiveness using a quantitative optional expedient method for one or more reporting periods, an entity may revert to a qualitative optional expedient method of hedge effectiveness under this Subtopic to the extent that the qualitative optional expedient method is eligible to be used.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1 Paragraph superseded by Accounting Standards Update No. 2020-04.](#)

848-50-35-16

An entity may perform a quantitative assessment of hedge effectiveness in any reporting period, and the results of that quantitative assessment shall not preclude an entity from using the qualitative optional expedient method in paragraphs [848-50-35-11 through 35-12](#) in a subsequent reporting period.

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | Transition Guidance: [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

· > Optional Expedient: Subsequent Assessments Performed Using a Quantitative Method

848-50-35-17 After initially assessing the hedge effectiveness using a method in accordance with Subtopics [815-20](#) and [815-30](#) or using an optional expedient method in accordance with paragraphs [848-50-25-6 through 25-12](#), an entity may adjust any of the three methods of assessing subsequent hedge effectiveness in paragraphs [815-30-35-10 through 35-32](#) when hedge effectiveness is assessed on a quantitative basis (using either a dollar-offset test or a statistical method such as regression analysis) as follows:

- a. If both the hedged forecasted transaction and the hedging instrument have a reference rate that meets the scope of paragraph [848-10-15-3](#) (or in a cash flow hedge of a forecasted purchase, sale, or issuance of a fixed-rate instrument in which the designated hedged interest rate risk is the benchmark interest rate if only the hedging instrument has a reference rate that meets the scope of paragraph [848-10-15-3](#)), an entity may assume that the reference rate will not be replaced for the remainder of the hedging relationship. That is, the entity does not need to consider the likelihood of whether the reference rate will be discontinued or changed because of reference rate reform.
- b. If either the hedged forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#), the terms of the hedged forecasted transaction may be altered to match the hedging instrument for the following:
 - 1. The referenced interest rate index
 - 2. The reset period, reset dates, day-count conventions, business-day conventions, and repricing calculation (for example, forward-looking calculation or in-arrears calculation)
 - 3. A spread adjustment for the difference between the existing reference rate and the replacement reference rate
 - 4. A cap or floor (including a cap or floor that exists in a variable-rate asset or a variable-rate liability and does not exist in a hedging instrument or vice versa).

 PENDING CONTENT 

Transition Date: P January 1, 2025; N January 1, 2025 | Transition Guidance: [848-10-65-1](#)

Editor's Note: Paragraph 848-50-35-17 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Subsequent Assessments Performed Using a Quantitative Method**
Paragraph superseded by Accounting Standards Update No. 2020-04.

· > Optional Expedient: Subsequent Assessment Based on an Option's Terminal Value

848-50-35-18 If an entity assesses subsequent hedge effectiveness on the basis of an option's terminal value in accordance with paragraph [815-20-25-126](#) and if either the forecasted transaction or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#), an entity may adjust the critical terms of the perfectly effective hypothetical hedging instrument in accordance with paragraph [815-20-25-129](#) to match the hedging instrument for the following:

- a. The underlying reference rate
- b. The strike price (or prices) of the hedging option (or combination of options)
- c. The hedging instrument's inflows (outflows) at its maturity date due to the underlying reference rate and strike price (or prices) of the hedging option (or combination of options).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-35-18 will be superseded upon transition, together with its heading:

> > **Optional Expedient: Subsequent Assessment Based on an Option's Terminal Value**

Paragraph superseded by Accounting Standards Update No. 2020-04.

> Conditions That Require Discontinuance of Optional Expedient for Assessing Hedge Effectiveness and Reversion to Subtopics 815-20 and 815-30

848-50-35-19

An entity shall discontinue the use of the optional expedients for assessing cash flow hedge effectiveness in paragraphs [848-50-35-1 through 35-18](#) if any of the following occurs:

- a. Neither the hedged item nor the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#).
- b. The guidance in this Topic is superseded (see paragraph [848-10-65-1\(a\)\(3\)](#)).
- c. The entity elects to cease to apply the optional expedients.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

For an entity that elects an optional expedient for assessing cash flow hedge effectiveness in paragraphs [848-50-35-1 through 35-18](#) because either the hedged item or the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#), the entity shall discontinue the use of that optional expedient if any of the following occurs:

- a. Neither the hedged item nor the hedging instrument references a rate that meets the scope of paragraph [848-10-15-3](#).
- b. The guidance in this Topic is superseded (see paragraph [848-10-65-1\(a\)\(3\)](#)).
- c. The entity elects to cease to apply the optional expedients.

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Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)

Editor's Note: Paragraph 848-50-35-19 will be superseded upon transition, together with its heading:

> **Conditions That Require Discontinuance of Optional Expedient for Assessing Hedge Effectiveness and Reversion to Subtopics 815-20 and 815-30**

Paragraph superseded by Accounting Standards Update No. 2020-04.

848-50-35-19A
 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

For an entity that elects an optional expedient for assessing cash flow hedge effectiveness in paragraphs [848-50-35-4 through 35-9](#) because the entity is applying the guidance in paragraph [848-30-25-11A\(b\)](#), the entity shall discontinue the use of that optional expedient if any of the following occurs:

- a. The guidance in this Topic is superseded (see paragraph [848-10-65-2\(a\)\(3\)](#)).
- b. The entity elects to cease to apply the optional expedients.

 PENDING CONTENT


Transition Date: P January 1, 2025; N January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
Paragraph superseded by Accounting Standards Update No. 2021-01.

848-50-35-20

If an entity applies an optional expedient method for assessing hedge effectiveness in accordance with paragraphs [848-50-35-1 through 35-18](#) and the hedging relationship continues after the entity discontinues applying the optional expedient method because of a condition in paragraph [848-50-35-19](#), the entity shall revert to applying the qualifying criteria and hedge assessment methods in Subtopics [815-20](#) and [815-30](#) to assess whether hedge accounting may continue for subsequent reporting periods. The entity may elect any hedge assessment method in accordance with Subtopics [815-20](#) and [815-30](#), and the entity is not required to use a hedge assessment method that was used before the election of the optional expedient method in paragraphs [848-50-35-1 through 35-18](#). For example, an entity that is using the shortcut method optional expedient for the initial assessment of a cash flow hedging relationship in accordance with paragraph [848-50-25-6](#) and the subsequent assessment in accordance with paragraph [848-50-35-5](#) shall revert to a hedge assessment method in accordance with Subtopics [815-20](#) and [815-30](#) in assessing whether the hedging relationship continues to qualify for hedge accounting from the date that the replacement assessment method is first applied.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)

If an entity applies an optional expedient method for assessing hedge effectiveness in accordance with paragraphs [848-50-35-1 through 35-18](#) and the hedging relationship continues after the entity discontinues applying the optional expedient method because of a condition in paragraph [848-50-35-19](#) or if an entity applies an optional expedient method for assessing hedge effectiveness in accordance with paragraphs [848-50-35-4 through 35-9](#) and the hedging relationship continues after the entity discontinues applying the optional expedient method because of a condition in paragraph [848-50-35-19A](#), the entity shall revert to applying the qualifying criteria and hedge assessment methods in Subtopics [815-20](#) and [815-30](#) to assess whether hedge accounting may continue for subsequent reporting periods. The entity may elect any hedge assessment method in accordance with Subtopics [815-20](#) and [815-30](#), and the entity is not required to use a hedge assessment method that was used before the election of the optional expedient method in paragraphs [848-50-35-1 through 35-18](#). For example, an entity that is using the shortcut method optional expedient for the initial assessment of a cash flow hedging relationship in accordance with paragraph [848-50-25-6](#) and the subsequent assessment in accordance with paragraph [848-50-35-5](#) shall revert to a hedge assessment method in accordance with Subtopics [815-20](#) and [815-30](#) in assessing whether the hedging relationship continues to qualify for hedge accounting from the date that the replacement assessment method is first applied.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)**848-50-35-21**

An entity shall perform the cash flow hedge effectiveness assessment in accordance with Subtopics [815-20](#) and [815-30](#) to assess whether hedge accounting may continue for subsequent reporting periods. An entity may create the terms of the instrument used to estimate changes in the fair value of its hedged risk (in accordance with either the hypothetical derivative method or another acceptable method in Subtopics [815-20](#) and [815-30](#)) on the basis of market data as of the inception of the hedging relationship. The entity shall not revise previous assessments of effectiveness that were performed in accordance with this Subtopic.

 PENDING CONTENT**Transition Date:**  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
[Paragraph superseded by Accounting Standards Update No. 2020-04.](#)**848-50-35-22**

An entity shall continue to assess whether the underlying hedged forecasted transaction (for example, the future interest receipts of a financial asset or future interest payments of a financial liability or the forecasted issuance or purchase of a debt instrument) remains probable of occurring in accordance with paragraph [815-20-25-15\(b\)](#). The assessments of whether the forecasted transactions remain probable are performed without regard to the replacement of the contractually specified interest rate.

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

848-50-35-23

A change in the method of assessing hedge effectiveness for a cash flow hedge upon discontinuing the application of an optional expedient method to a hedge assessment method in accordance with Subtopics [815-20](#) and [815-30](#) is not a change that results in dedesignation of the hedging relationship. An entity shall update its hedge documentation to reflect the change in the method of assessing hedge effectiveness in accordance with paragraph [848-30-25-4](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.

848-50-35-24

If an entity discontinues an optional expedient method because of a condition in paragraph [848-50-35-19](#) and the hedging relationship does not qualify for hedge accounting when applying a hedge assessment method in Subtopics [815-20](#) and [815-30](#), then the entity shall discontinue hedge accounting prospectively and apply the guidance in paragraphs [815-30-40-2](#) through [40-6A](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-2](#)
If an entity discontinues an optional expedient method because of a condition in paragraph [848-50-35-19](#) or paragraph [848-50-35-19A](#) and the hedging relationship does not qualify for hedge accounting when applying a hedge assessment method in Subtopics [815-20](#) and [815-30](#), then the entity shall discontinue hedge accounting prospectively and apply the guidance in paragraphs [815-30-40-2](#) through [40-6A](#).

 PENDING CONTENT



Transition Date:  January 1, 2025;  January 1, 2025 | **Transition Guidance:** [848-10-65-1](#)
Paragraph superseded by Accounting Standards Update No. 2020-04.